HARBORVIEW SECURITIES LLC

INTERNAL CREDIT POLICY — LEVERAGED FINANCE AND ACQUISITION FINANCE

This Policy is issued by the Credit Risk Committee and governs the extension, underwriting and internal approval of leveraged finance and acquisition finance exposures. It supersedes all prior editions and all interim committee guidance, whether written or oral, to the extent inconsistent with it.

ARTICLE I — SCOPE, ADMINISTRATION AND CONSTRUCTION

1.01 Scope. This Policy applies to every proposed exposure in which the obligor's pro forma total net leverage exceeds three and one-half times Consolidated EBITDA, and to every exposure arising from a change of control of the obligor irrespective of leverage.

1.02 Administration. The Credit Risk Committee administers this Policy. The Committee's Secretary maintains the controlled copy and records each amendment in the Amendment Register at Article VII.

1.03 Construction. Defined terms used and not defined herein have the meanings given to them in the relevant credit agreement. Where a term is defined both here and in a credit agreement, the credit agreement's definition governs for covenant compliance testing and this Policy's definition governs for internal approval purposes.

1.04 Interim guidance. A committee memorandum issued between editions of this Policy is guidance only. It does not amend this Policy, and it ceases to have effect on the effective date of the next edition. Reliance on superseded interim guidance is a policy exception requiring escalation under Article VI.

1.05 No implied waiver. Approval of an exposure that breaches a limit in this Policy is effective only if the exception is documented under Article VI. Prior approvals do not constitute waivers for subsequent exposures.

ARTICLE II — LEVERAGE LIMITS

2.01 Pro forma total net leverage. No exposure shall be approved where the obligor's pro forma total net leverage, measured at closing and calculated in accordance with Article III, exceeds the limit set out in Section 2.02.

2.02 Maximum pro forma total net leverage: 5.50x Consolidated EBITDA. This limit is a hard gate. It is not subject to relationship, franchise or cross-sell considerations.

2.03 Relationship to financial covenants. The maintenance covenant level in the obligor's own credit agreement (5.25x) is a contractual test between the obligor and its lenders. It is not this firm's internal limit and must not be substituted for the Section 2.02 gate. An exposure may satisfy the covenant and still breach this Policy.

2.04 Rating sensitivity. Where pro forma leverage exceeds 4.80x, the deal team shall assess whether a rating action is reasonably likely and whether any change-of-control repurchase obligation is thereby triggered. The assessment shall be documented in the credit memorandum.

2.05 Measurement date. Leverage is measured at closing on a pro forma basis, giving effect to the transaction and to all indebtedness incurred, assumed or repaid in connection with it.

2.06 Single-obligor limit. No Policy exposure to a single obligor, together with all affiliates under common control, may exceed the aggregate hold limit approved for the relevant internal grade under Article XI, irrespective of the leverage test in Section 2.02. Where an obligor's grade migrates after closing, the deal team shall test the then-current aggregate hold against the then-current grade's limit at the next scheduled review under Article XIV, not only at origination. The aggregate hold is computed across every facility described in Section 15.03, including an

undrawn revolving commitment measured at its full committed amount rather than its current utilization, and including any letter of credit sub-facility described in Section 12.08. A proposed exposure that would breach the aggregate hold limit on its own, before any other obligor's exposure is considered, requires the same Article VI escalation as a leverage breach under Section 2.02, and the credit memorandum shall show the arithmetic of the aggregation rather than asserting the conclusion alone.

2.07 Industry and sector concentration. The Committee maintains an industry and sector concentration limit, expressed as a share of the aggregate leveraged finance and acquisition finance book, for each industry classification the Committee has designated as concentration-sensitive. A proposed exposure that would cause a designated industry to exceed its concentration limit requires the same escalation as an Article II leverage breach, whether or not the individual exposure itself satisfies Section 2.02. The deal team shall classify the obligor's industry using the Committee's own classification convention rather than a third-party industry code alone, and shall state in the credit memorandum whether the obligor operates in more than one designated industry, in which case the exposure is tested against each applicable industry limit rather than only the industry the deal team considers primary. The Committee revisits the list of concentration-sensitive industries at the interval set out in Article XIV, and a change to that list does not itself require re-underwriting an exposure already approved.

2.08 Hold level versus underwrite level. The limits in this Article apply to the firm's final hold position after any syndication, participation or risk-transfer transaction contemplated at approval. Where a transaction is underwritten in an amount exceeding the intended hold, the underwriting commitment itself is tested against this Article as though no syndication were completed, on the assumption most conservative to the firm's own exposure. Where a syndication contemplated at approval does not complete within the period the credit memorandum states, the deal team shall re-confirm that the firm's actual, unsyndicated hold remains within every limit in this Article, and shall escalate under Article VI if it does not, rather than treating the intended syndication as though it had occurred. A risk-transfer transaction entered into after closing to bring the hold within a limit is documented in the credit file but does not retroactively cure a breach that existed at approval.

2.09 Tenor limits. A revolving facility exposure may not be approved with an original tenor materially longer than the tenor customary for revolving facilities of comparable size and industry at the time of approval, and a term exposure may not be approved with a final maturity materially longer than the tenor customary for term exposures of comparable size, industry and internal grade, in either case absent an Article VI exception documenting the business reason for the longer tenor. The deal team shall identify at least one comparable transaction supporting the customary-tenor determination under Article V Section 5.04, rather than asserting customary market tenor without a cited comparable. Where a facility's tenor extends beyond the obligor's own senior notes maturity, the credit memorandum shall address the refinancing risk that ordering creates, including whether the facility's own maturity is structured to spring ahead of the notes under a customary springing-maturity provision.

2.10 Lien-priority sub-limits. Aggregate exposure to obligors whose facility structure subordinates the firm's position behind other first-lien indebtedness, or whose facility is itself unsecured, is subject to its own sub-limit within the aggregate hold limit described in Section 2.06, set at a smaller share of that limit than a first-lien position in the same obligor would receive. A second-lien or unsecured position in an obligor already carrying a first-lien

exposure from the firm is tested against both the position's own sub-limit and the obligor's aggregate limit. The sub-limit applicable to a given lien priority is set by the Committee's own correspondence table referenced in Section 10.16, and the deal team shall identify in the credit memorandum which lien priority the proposed exposure occupies by reference to the intercreditor or subordination agreement governing the obligor's capital structure, not by reference to the facility's own label alone.

2.11 Geographic and country limits. Exposure to an obligor whose principal operations, together with the operations of its material subsidiaries, are located outside the United States and Canada is subject to a country concentration limit maintained by the Committee and reviewed at the calendar interval set out in Article XIV. A cross-border exposure additionally requires the deal team to identify the governing law and enforcement jurisdiction of the principal facility documents in the credit memorandum required by Article V. Where the obligor's material subsidiaries are located in more than one country outside the United States and Canada, the deal team shall aggregate the exposure across every such country for purposes of each individual country's own concentration limit, and shall identify separately any country subject to a sanctions regime the firm's compliance function monitors, in addition to the reputational screen Section 5.06 requires.

2.12 Sponsor-relationship aggregate limit. Where the transaction is sponsored by a financial sponsor with which the firm maintains other outstanding exposures, the deal team shall aggregate the proposed exposure with every other outstanding exposure to that sponsor's other portfolio companies for purposes of the sponsor-relationship limit the Committee maintains separately from the single-obligor limit in Section 2.06. The sponsor-relationship limit is tested independently of, and in addition to, the single-obligor limit. Where the sponsor operates through more than one fund vehicle, the deal team shall determine whether the vehicles are treated as a single sponsor for aggregation purposes by reference to common control and common investment decision-making, rather than treating each fund vehicle as a separate sponsor solely because it is a separate legal entity, and shall document that determination in the credit memorandum.

2.13 Minimum sponsor equity contribution. No exposure subject to this Article may be approved unless the sponsor equity contribution to the transaction, expressed as a share of total capitalization at closing, meets the minimum threshold the Committee has established for the obligor's internal grade under Article X. A rollover of pre-existing sponsor equity, rather than a new cash contribution, is credited toward this threshold only to the extent Article V's submission requirements are satisfied as to its valuation. Seller-provided financing subordinated to the proposed exposure, and any deferred or contingent consideration structured as an earnout or similar arrangement, is not credited toward the sponsor equity contribution for purposes of this Section, on the basis that neither is capital the sponsor itself has placed at risk ahead of the firm's own exposure.

2.14 Currency and hedging requirement. Where the obligor's revenue and the facility currency are not the same currency, the deal team shall document in the credit memorandum whether the resulting mismatch is hedged, and if unhedged, whether the unhedged position is within the tolerance the Committee has established for that currency pair. This Section applies independently of any hedging requirement stated in the credit agreement itself. Where the obligor hedges the mismatch through a natural offset, such as a matching foreign-currency cost base, rather than through a financial hedging instrument, the deal team shall document the basis for treating the natural offset as

adequate, and the independent reviewer under Section 5.10 shall specifically address that determination rather than accepting it without separate consideration.

2.15 Floating-rate interest hedging. Where a facility's pro forma leverage under Section 2.02 is tested at closing on the assumption of a hedged floating-rate exposure, the credit memorandum shall identify the hedge instrument and its tenor, and shall separately state the unhedged sensitivity of the interest coverage test in Article XII to a reasonable adverse movement in the relevant floating-rate index. Where the hedge instrument's own tenor is shorter than the facility's tenor under Section 2.09, the credit memorandum shall state the obligor's stated intention, if any, to renew or replace the hedge before its expiration, and the independent reviewer shall treat an unstated renewal intention as a gap under Section 5.02 rather than an implicit assumption in the obligor's favor.

2.16 Cross-default aggregation. In assessing the single-obligor limit under Section 2.06, the deal team shall aggregate every facility that cross-defaults to the proposed exposure, whether or not the cross-defaulting facility is itself extended by the firm, and shall identify in the credit memorandum any cross-default provision running the other way, from the proposed exposure to an obligation the firm does not hold. Where the cross-default provision is itself subject to a materiality threshold stated in the relevant facility document, the deal team shall state that threshold rather than assuming the cross-default is unconditional, and shall confirm that the threshold is consistent with the aggregation approach this Section requires for single-obligor limit testing under Section 12.13.

2.17 Most-favoured-lender parity. Where the obligor's capital structure includes another senior secured facility ranking pari passu with the proposed exposure, the deal team shall confirm whether the proposed exposure benefits from most-favoured-lender pricing and covenant parity with that other facility, and shall document any respect in which it does not. A proposed exposure that would receive less favourable pricing or covenant protection than an existing pari passu facility, without the benefit of a most-favoured-lender provision correcting the disparity, requires the deal team to state the business rationale for accepting that disparity in the credit memorandum, distinct from the rationale for the transaction itself.

2.18 Aggregate book diversification. The Committee monitors the diversification of the aggregate leveraged finance and acquisition finance book across internal grade, industry and vintage, and may decline to approve an otherwise-compliant exposure, or condition its approval, where the exposure would concentrate the aggregate book beyond the diversification guideline the Committee maintains, notwithstanding that the exposure itself satisfies every limit stated elsewhere in this Article. A decline or condition imposed solely on this basis is recorded in the credit file distinctly from an Article VI exception denial, because the proposed exposure did not itself breach a stated limit; the deal team may resubmit the same exposure without a renewed Article VI request once the aggregate book's own composition has changed.

2.19 Stress-test overlay. Before approving an exposure at or above the threshold the Committee has set for stress-test overlay review, the deal team shall re-test the Section 2.02 leverage calculation under the adverse scenario the Committee's most recent stress-test guidance specifies, and shall carry the stressed result, not only the base-case result, in the credit memorandum. Where the stressed result would itself breach the Section 2.02 gate, the exposure is treated for approval-routing purposes under Article XI as though the stressed result, not the base-case result, were the pro forma leverage being tested, unless the Committee determines that the stress scenario is not reasonably

applicable to the obligor's specific business and states the basis for that determination in the credit file.

2.20 Annual limit-utilization reporting. The Committee Secretary shall compile an annual report of utilization against every limit stated in this Article, by internal grade and by industry, for presentation to the Committee under the calendar set out in Article XIV. Nothing in this Section changes the limits themselves; it is a monitoring requirement only. The report shall separately identify any limit utilized above the threshold the Committee has set for advance notice, so that the Committee can consider whether a limit itself, rather than any individual exposure against it, should be revisited at the Committee's own initiative, using Schedule D as the report's standard form.

2.21 Amend-and-extend transactions. Where an existing exposure is amended to extend its tenor, increase its committed amount, or reprice its margin without a change of control or a new acquisition, the deal team shall re-test every limit in this Article against the amended terms using then-current financial information, treating the amendment as a new proposed exposure for purposes of this Article even though the obligor itself is not new to the firm. An amend-and-extend transaction that would not itself clear Section 2.02 on a stand-alone basis, but that improves the firm's position relative to the un-amended facility, is not thereby exempt from Article VI's exception procedure; the improvement is a factor the Committee weighs in deciding the exception, not a basis for skipping it.

2.22 Debtor-in-possession and rescue financing. Where the firm considers extending debtor-in-possession or other rescue financing to an obligor already in, or about to enter, insolvency proceedings, this Article's ordinary leverage-based limits do not meaningfully constrain the decision, since a distressed obligor's pro forma leverage under Section 2.02 is not the primary indicator of the financing's own risk; such financing is approved as an Article VI exception on collateral- and priority-based grounds the credit memorandum states specifically, rather than being measured against the Section 2.02 gate as though it were an ordinary leveraged financing.

2.23 Interaction between the aggregate hold limit and a temporary underwriting position. Where the firm holds a temporary underwriting position pending syndication under Section 2.08, that temporary position is included in the aggregate hold limit under Section 2.06 for the full period it is held, including any period the syndication is delayed beyond the timeline the credit memorandum originally stated; the deal team shall flag an aggregate hold limit breach arising from a delayed syndication promptly rather than waiting for the position's next scheduled review.

ARTICLE III — CALCULATION CONVENTIONS

3.01 Consolidated EBITDA. For Section 2.02 purposes, Consolidated EBITDA is the amount determined under the obligor's own credit agreement definition, including its permitted addbacks and subject to each cap and basket stated there.

3.02 Addback caps. Where the credit agreement expresses an addback cap as a percentage of Consolidated EBITDA calculated after giving effect to that addback, the cap shall be solved on that basis. Applying the percentage to unadjusted earnings understates the permitted addback and is not an acceptable approximation.

3.03 Addback scope. Where a proviso restricts a cap to a named component of a run-rate addback, the cap applies to that component only. Components not named in the proviso are added back in full.

3.04 Net debt. Net debt for Section 2.02 purposes follows the obligor's credit agreement definition, which may differ from any net debt definition used in a purchase agreement for price-adjustment purposes. The two are not interchangeable and must not be substituted for one another.

3.05 Assumed obligations. Indebtedness assumed at closing is included in net debt whether or not it is refinanced, unless it is legally discharged at closing.

3.06 Cost-saving recognition period. A run-rate cost saving may be included in Consolidated EBITDA under Section 3.01 only for the recognition period the obligor's own credit agreement definition permits following the action giving rise to the saving. A saving whose recognition period has lapsed under that definition is excluded from the Section 2.02 calculation even if the credit agreement's own reporting continues to reflect it, and the deal team shall recompute the calculation without it. Where the action giving rise to the saving occurred before the diligence record's earliest reviewed period, the deal team shall state the date of the action in the credit memorandum so the independent reviewer can confirm the recognition period has not already lapsed by the measurement date, rather than accepting management's own characterization of the saving as still current.

3.07 Run-rate look-forward limit. Where the credit agreement definition permits a run-rate addback to be taken on a look-forward basis, the look-forward period tested under this Policy may not exceed the period the credit agreement itself specifies, regardless of any longer period management's own projections assume. A run-rate addback computed on a longer look-forward than the credit agreement permits is treated as unsupported under Article V Section 5.02. Where management's projections and the credit agreement's own look-forward period diverge, the deal team shall present both figures in the credit memorandum rather than presenting only the credit-agreement-compliant figure, so the Committee can see the size of the adjustment the compliant figure required.

3.08 Pro forma interest treatment. Pro forma interest expense for Section 2.02 purposes is computed using the interest rate and margin actually available to the obligor at closing under the executed facility documents, not an assumed or illustrative rate used in an earlier stage of the transaction's negotiation. Where the facility bears a floating rate, Section 2.15's hedging documentation governs which rate assumption is used. Where the credit agreement provides for a pricing grid keyed to leverage or to internal grade, the pro forma interest calculation uses the grid level corresponding to the pro forma leverage itself computed under this Article, not a more favourable level the obligor may reach only after a later leverage reduction.

3.09 Non-recurring items. An expense or gain the credit agreement definition treats as non-recurring is added back or deducted, as applicable, only to the extent the credit agreement's own frequency limitation for non-recurring treatment is satisfied. An item that recurs more frequently than the credit agreement's own limitation permits is not non-recurring for Section 2.02 purposes regardless of how management characterizes it. Where an item recurs at a frequency close to, but not in excess of, the credit agreement's own limitation, the deal team shall state the item's actual occurrence history in the credit memorandum rather than asserting compliance with the limitation as a bare conclusion.

3.10 Acquisition-related addbacks. Transaction expenses and integration costs associated with a permitted acquisition are added back only for the period, and subject to the cap, the credit agreement definition states for acquisition-related addbacks specifically; a general run-rate addback basket may not be used to shelter an acquisition-related item once that item's own, more specific cap has been exhausted. Where the credit agreement states the acquisition-related cap as a percentage of Consolidated EBITDA, Section 3.02's post-addback solving convention applies to that cap in the same manner it applies to any other percentage-of-Consolidated-EBITDA cap

in the credit agreement.

3.11 Management and monitoring fees. A management or monitoring fee paid to the sponsor is added back for Section 2.02 purposes only to the extent, and only up to the cap, the credit agreement's own definition permits; a fee paid in excess of that cap is not added back regardless of whether the fee itself is permitted to be paid under the credit agreement's restricted payments covenant. Where the management or monitoring fee agreement provides for a fee that escalates with the obligor's revenue or EBITDA, the deal team shall state the fee actually paid in the period under review rather than an earlier, lower fee from a prior period, and shall flag under Section 12.11 any inconsistency between the fee cap here and the restricted payments basket supporting the fee's payment.

3.12 Minority interest. Where the obligor consolidates a subsidiary that is not wholly owned, the credit agreement definition's treatment of the minority interest's share of EBITDA governs the Section 2.02 calculation; the deal team shall not substitute a pro rata consolidation method the credit agreement itself does not use, even where a pro rata method would be more conservative or more aggressive. Where the obligor's ownership share in a consolidated subsidiary changed during the period under review, the deal team shall state both the pre-change and post-change ownership shares and confirm which share the credit agreement's own definition uses for the period-end calculation.

3.13 Non-cash compensation. Non-cash equity compensation expense is added back under Section 3.01 only to the extent the credit agreement's own definition includes it, and the deal team shall identify separately any non-cash compensation addback the credit agreement caps as part of a broader non-cash-items basket rather than permitting without limit. Where equity compensation is settled in cash rather than in the sponsor's or the obligor's own equity, the deal team shall confirm whether the credit agreement's definition of non-cash compensation extends to cash-settled awards before including the expense in the addback.

3.14 Litigation and settlement items. A litigation expense or settlement payment is added back only where the credit agreement definition expressly permits it, and only for the amount actually incurred; an accrual for a litigation matter not yet settled is not added back unless the credit agreement's own definition separately addresses accrued, unsettled litigation exposure. Where the litigation arises from the obligor's ordinary course of business rather than from an identified, discrete event, the deal team shall state that fact in the credit memorandum, since an addback for an ordinary-course litigation expense is the item most likely to recur within the frequency limitation Section 3.09 tests.

3.15 Foreign-currency translation. Where the obligor's Consolidated EBITDA build includes results translated from a foreign functional currency, the translation rate convention (average-rate versus period-end-rate) is the convention the credit agreement's own definition specifies; absent an express convention there, the deal team shall use the average-rate convention and document that choice in the credit memorandum. Where a material currency devaluation occurred during the period under review, the deal team shall state the effect of the devaluation on the translated result separately from the effect of the underlying local-currency operating performance, so the Committee can distinguish the two.

3.16 Capitalized software and development costs. Costs the obligor capitalizes under its own accounting policy for internally developed software are excluded from Consolidated EBITDA to the same extent the credit agreement's definition excludes other capitalized costs, unless the credit agreement's definition expressly addresses capitalized

software separately. Where the obligor's capitalization policy for internally developed software changed during the period under review, the deal team shall state the effect of the change on the comparability of the periods presented in the credit memorandum's own base case.

3.17 Sale-leaseback and seasonality adjustments. A sale-leaseback transaction's effect on Consolidated EBITDA is tested under the credit agreement's own treatment of the resulting rent expense, not recharacterized as financing expense unless the credit agreement's definition does so. Where the obligor's business is seasonal, a trailing-twelve-month Consolidated EBITDA calculation is used for Section 2.02 testing in preference to an annualized single-quarter calculation, absent a credit agreement convention specifying otherwise. Where a sale-leaseback transaction occurred within the trailing-twelve-month period, the deal team shall state the sale proceeds and the resulting rent expense separately in the credit memorandum, so the leverage effect of the transaction is visible rather than embedded in a net figure.

3.18 Add-on acquisition integration timeline. Where the base case includes a completed add-on acquisition, the credit memorandum shall state the acquisition's own closing date and the portion of the trailing-twelve-month period the add-on's results are actually included for, distinct from any run-rate addback taken for the add-on under Sections 3.06 and 3.07, so the reader can separate the add-on's actual contribution from its projected, run-rate contribution.

3.19 Discontinued operations. Results of an operation the obligor has discontinued, or has announced an intention to discontinue, before the measurement date are excluded from Consolidated EBITDA for Section 2.02 purposes to the same extent the credit agreement's own definition excludes them, and the deal team shall state the discontinued operation's own trailing-twelve-month contribution so the Committee can see the size of the exclusion.

3.20 Related-party pricing adjustments. Where the obligor transacts with a related party on terms the deal team's diligence indicates are not arm's-length, any addback normalizing the related-party pricing to an arm's-length basis is supported only where the credit agreement's own definition permits a related-party normalization addback and the deal team identifies the comparable arm's-length pricing relied upon under Article V Section 5.04.

3.21 Pro forma synergy and cost-saving distinction. Where the base case presents a synergy expected from the transaction itself (such as the elimination of a duplicated corporate function) separately from a run-rate cost saving the obligor's own management had already identified before the transaction (such as a facility consolidation already underway), the deal team shall state the two separately in the Consolidated EBITDA build, since the credit agreement's own addback cap and recognition-period rules under Sections 3.06 and 3.07 may treat the two categories differently even where both are, in substance, cost savings.

3.22 Working-capital normalization. Where the Section 2.02 calculation relies on a normalized working-capital adjustment to Consolidated EBITDA, the deal team shall state the normalization's own basis (a trailing average, a seasonal peg, or a target-level convention) and shall confirm that the basis is the one the credit agreement's own definition specifies, distinct from any working-capital adjustment mechanism a purchase agreement separately provides for price-adjustment purposes under Section 3.04.

3.23 Pro forma adjustments for a divestiture. Where the obligor has divested, or has announced an intention to divest, a business line before the measurement date, the base case excludes that business line's own results on a pro forma basis to the same extent the credit agreement's definition requires, and the deal team shall state the divested

business line's own trailing-twelve-month contribution so the Committee can see the size of the pro forma adjustment, consistent with the parallel treatment Section 3.19 states for a discontinued operation.

3.24 Treatment of insurance recoveries. A gain from an insurance recovery is excluded from Consolidated EBITDA for Section 2.02 purposes unless the credit agreement's own definition expressly includes it, and where the recovery relates to a loss that was itself added back under Section 3.14 or a comparable provision, the deal team shall state both the loss and the recovery so the Committee can see that the two are not double-counted in opposite directions.

ARTICLE IV — CHANGE OF CONTROL EXPOSURES

4.01 Repurchase obligations. Where the obligor has public debt containing a change-of-control repurchase provision, the deal team shall determine whether the provision is triggered by the transaction and shall document the determination.

4.02 Double triggers. Where the provision requires both a change of control and a ratings condition, both must be satisfied before the obligation arises. A change of control alone does not arm the repurchase.

4.03 Funding assumption. Where a repurchase obligation is triggered, committed funding shall be sized on the assumption that all holders tender. Holders act independently and the firm shall not rely on an expectation that any holder will decline, however uneconomic tendering may appear.

4.04 Alternative redemption. Where the obligor may instead redeem at a make-whole price, both the repurchase price and the make-whole price shall be computed and the higher exposure carried in the funds flow.

ARTICLE V — CREDIT MEMORANDUM REQUIREMENTS

5.01 Every submission shall include: the pro forma leverage calculation with its inputs; the Consolidated EBITDA build showing each addback and each cap applied; the net debt build identifying the definition used; and the change-of-control analysis required by Article IV.

5.02 Every material figure shall cite the source document and the section within it. A figure supported only by management representation shall be identified as unsupported and shall not be relied upon for Section 2.02 testing.

5.03 Where two documents in the diligence record state different values for the same measure, the memorandum shall identify which governs and on what basis.

5.04 Comparable transaction and comparable company analysis. The submission shall include a summary of comparable leveraged transactions and comparable public or private companies the deal team considered in assessing the leverage and pricing of the proposed exposure, identifying the source of each comparable and any material respect in which the obligor differs from it. Where fewer than three comparables are reasonably available for the obligor's industry and size, the deal team shall state that scarcity expressly rather than presenting a shorter comparable set without comment, and shall identify the closest available comparable even where its fit is imperfect.

5.05 Sensitivity cases. The submission shall present at least a downside sensitivity case for the Section 2.02 leverage calculation, showing the inputs varied from the base case and the resulting leverage, in addition to the base-case calculation required by Section 5.01. Where the obligor's business carries a customer- or contract-concentration risk the deal team identifies in diligence, at least one sensitivity case shall model the loss of that specific customer or contract rather than only a generic revenue decline, so the Committee can see the concentration risk's own leverage effect distinctly from a general downside.

5.06 Reputational and business-conduct screen. The submission shall confirm that the deal team has completed the firm's standard reputational and business-conduct screen for the obligor and its sponsor, and shall identify any finding from that screen the Committee should weigh in its approval decision. A finding from the screen does not itself preclude approval, but the credit memorandum shall state how the deal team has weighed the finding against the transaction's other merits rather than omitting the finding from the memorandum presented to the Committee.

5.07 Know-your-customer and anti-money-laundering confirmation. The submission shall confirm that know-your-customer and anti-money-laundering diligence on the obligor, the sponsor and, where applicable, the selling shareholders has been completed to the standard the firm's compliance function requires, and shall identify any open item. An open item that compliance has not yet closed as of the submission date is stated as open, with the expected closure timeline, rather than as closed subject to a condition the deal team itself characterizes as a formality.

5.08 Environmental diligence reference. Where the obligor's operations involve owned real property material to its business, the submission shall reference the environmental diligence performed, or shall state that no material owned real property is involved and explain the basis for that conclusion. Where the obligor leases, rather than owns, its principal operating real property, the deal team shall state whether the lease allocates environmental liability to the obligor as tenant, since that allocation can create the same diligence need Section 5.08 otherwise addresses for owned property.

5.09 Insurance adequacy confirmation. The submission shall confirm that the obligor's insurance program, or the insurance program contemplated at closing, is adequate for a business of its type and size, and shall identify any material insurance gap the deal team has flagged. Where the credit agreement requires the firm to be named as an additional insured or loss payee, the deal team shall confirm that the requirement has been, or will be at closing, satisfied, distinct from the general adequacy confirmation this Section otherwise requires.

5.10 Independent-review requirement. Every submission at or above the threshold requiring Credit Risk Committee approval under Article XI shall be independently reviewed by a credit officer who was not a member of the originating deal team before the submission is placed before the Committee, and the independent reviewer's own written comments shall accompany the submission. The independent reviewer's comments shall address, at a minimum, whether the Section 2.02 calculation follows Article III's conventions, whether every material figure is sourced under Section 5.02, and whether the sensitivity cases required by Section 5.05 are reasonable for the obligor's specific business.

5.11 Record-retention rule. The Committee Secretary shall retain the submission, the independent reviewer's comments, and the Committee's own approval record for the retention period the firm's records-retention policy specifies for credit files, measured from the later of final repayment of the exposure or termination of the commitment if never drawn. Where an exposure is amended, extended or refinanced before final repayment, the retention period restarts from the amendment, extension or refinancing rather than from the original approval, and the amended credit file is retained together with, not in place of, the original submission.

5.12 Post-closing monitoring handoff. Upon closing, the deal team shall deliver to the credit officer responsible for ongoing monitoring a handoff memorandum identifying every covenant, reporting requirement and condition subsequent the credit agreement imposes, cross-referenced to the submission's own Section 5.01 build so that the

monitoring officer can test actual results against the approved case. The handoff memorandum shall also identify every sensitivity case presented under Section 5.05, so that the monitoring officer can recognize, at the first Watch List review under Article XIII, whether actual results are tracking a sensitivity case the deal team had already modelled rather than an unmodelled development.

5.13 Annual re-underwriting. An exposure remaining outstanding at the annual review date set out in Article XIV shall be re-underwritten against then-current financial information to the same Section 5.01 standard as at origination, and the resulting internal grade under Article X shall be reaffirmed or revised on that basis. The re-underwriting shall use Schedule C as its standard form, and shall state explicitly whether each limit in Article II remains satisfied on the then-current information, rather than carrying forward the original submission's own limit conclusions unchanged.

5.14 Third-party report reliance. Where the submission relies on a report prepared by a third party, such as an accounting firm's quality-of-earnings report or an appraiser's valuation, the credit memorandum shall state the third party's own scope limitations as stated in its report, and shall not present a figure drawn from a scoped-out area of the third-party report as though the third party had independently verified it.

5.15 Management projections disclosure. Where the base case under Section 5.01 relies on management's own projections rather than historical results, the credit memorandum shall state that reliance expressly and shall identify the specific line items the projection, rather than historical performance, drives, so the Committee can weigh the projection-dependent portion of the case separately from the historically-supported portion.

5.16 Legal and regulatory diligence summary. The submission shall summarize any material litigation, regulatory proceeding or licensing condition affecting the obligor that the deal team's diligence identified, distinct from the change-of-control repurchase analysis Article IV requires, which addresses only the obligor's own public debt rather than litigation or regulatory matters generally.

5.17 Management team assessment. The submission shall include the deal team's own assessment of the obligor's senior management team's tenure, relevant experience and any recent turnover, distinct from the change in senior management the credit officer separately considers as a qualitative Watch List trigger under Article XIII Section 13.05 once the exposure is outstanding.

5.18 Industry outlook summary. The submission shall include a brief summary of the deal team's own view of the obligor's industry outlook over the tenor of the proposed exposure, distinct from the comparable transaction and comparable company analysis Section 5.04 requires, which addresses specific comparables rather than the industry's own trajectory.

5.19 Prior relationship history. Where the firm has an existing lending or advisory relationship with the obligor or its sponsor, the submission shall summarize the history of that relationship, including any prior exception, Watch List placement or workout referral affecting an earlier exposure to the same obligor or sponsor, so the Committee can consider the proposed exposure against the relationship's own track record rather than as though the obligor were unknown to the firm.

ARTICLE VI — EXCEPTIONS AND ESCALATION

6.01 An exception to any limit in Article II requires the affirmative vote of the Credit Risk Committee and the

written concurrence of the Chief Risk Officer.

6.02 An exception is specific to the exposure for which it is granted and does not extend to any other exposure, tranche or amendment.

6.03 Reliance on superseded interim guidance in place of this Policy is a reportable control deficiency and shall be logged in the Exception Register.

6.04 Exception request. A request for an exception under Section 6.01 shall be submitted in the form of Schedule A, identifying the specific limit to be exceeded, the amount and duration of the exception, and the business justification for it. The request shall also state the internal grade under Article X the exposure would carry if approved, and the exposure band under Article XI the exposure would otherwise fall into absent the exception, so the Committee can see both the size and the severity of the departure being requested in one place.

6.05 Committee review of the request. The Committee shall review an exception request at its next regularly scheduled meeting, or on an expedited basis where the deal team demonstrates that the transaction timeline does not permit waiting for the next regularly scheduled meeting, in which case the affirmative vote may be obtained by written consent of the Committee's members. An expedited review does not relieve the deal team of the independent-review requirement in Section 5.10; the independent reviewer's comments accompany an expedited request in the same manner as an ordinary submission.

6.06 Chief Risk Officer concurrence. The Chief Risk Officer's written concurrence required by Section 6.01 is a condition to the exception's effectiveness independent of the Committee's own affirmative vote; a Committee vote without that concurrence does not itself grant the exception. The concurrence is evidenced by Schedule E, and the Committee Secretary shall not enter the exception in the Exception Register under Section 6.07 until the completed Schedule E is on file.

6.07 Exception Register fields. The Exception Register maintained under Section 6.03 shall record, for each exception granted: the obligor, the limit exceeded, the amount and duration of the exception, the Committee's vote and the date of the Chief Risk Officer's concurrence, the business justification stated in the request, and the exception's expiration date. The Register shall also record whether the exception was granted on an expedited basis under Section 6.05, since the Committee's own periodic review of its exception practice, conducted at the interval set out in Article XIV, considers the expedited share of exceptions granted separately from the aggregate count.

6.08 Time limit on an exception. An exception is effective only for the duration stated in the grant, and in no event for longer than the period until the next Article XIV annual review of the exposure, whichever is shorter, unless the exception is renewed under Section 6.11 before it expires. An exception that lapses without renewal is not thereafter cured by a later Committee ratification purporting to apply retroactively; a new exception request is required for the period following the lapse.

6.09 Committee reporting cycle. The Committee Secretary shall report the aggregate number and amount of outstanding exceptions to the Committee at each regularly scheduled meeting, and to the firm's Board Risk Committee at the interval set out in Article XIV, in each case without regard to whether any individual exception is itself again before the Committee for renewal. The report shall break the aggregate down by the limit exceeded, so that a pattern of exceptions concentrated against a single limit under Article II is visible to the Committee rather than

obscured within an undifferentiated total.

6.10 Board-level escalation threshold. Where the aggregate amount of outstanding exceptions to a single limit exceeds the threshold the Board Risk Committee has established for that limit, the Committee Secretary shall escalate the aggregate position to the Board Risk Committee promptly, in addition to the regular reporting cycle described in Section 6.09. The escalation shall identify each individual exception comprising the aggregate, not only the aggregate figure itself, so the Board Risk Committee can assess whether the concentration reflects a single large exception or several smaller ones.

6.11 Exception renewal procedure. A request to renew an exception before its expiration shall be submitted in the same form as the original request under Section 6.04, and shall additionally state whether the circumstances justifying the original exception continue to apply or have changed. Where the circumstances have changed, the renewal request shall state the changed circumstances and whether they make the exception more or less necessary than at the time of the original grant, rather than simply restating the original justification unchanged.

6.12 Denial and appeal. A deal team whose exception request is denied may request that the Committee reconsider the denial once, on the basis of additional information not before the Committee at the original review; a second denial is final and is not itself subject to further appeal under this Policy. A denial, whether or not appealed, is recorded in the Exception Register in the same manner as a grant, so that the Register reflects the Committee's full exception practice rather than only the exceptions actually granted.

6.13 Remediation plan for a renewed exception. A renewal request under Section 6.11 shall be accompanied by a remediation plan describing the steps expected to bring the exposure back within the relevant limit, unless the deal team states, and the Committee accepts, that no remediation is practicable before the exposure's stated maturity. A remediation plan that has not progressed as stated by the time of a further renewal request is a factor the Committee shall weigh in deciding whether to grant the further renewal, and the deal team shall address the shortfall against the prior plan expressly in the further request.

6.14 Exception Register audit. The Committee Secretary shall reconcile the Exception Register against the credit files it references at the interval set out in Article XIV, and shall report to the Committee any exception recorded in the Register without a corresponding credit file, or any credit file reflecting an exception not recorded in the Register. Either discrepancy is itself a reportable control deficiency under Section 6.03 in the same manner as reliance on superseded interim guidance, and is logged as such rather than merely corrected without a record of how it arose.

6.15 Interaction with the covenant package. Where the exception relates to a covenant threshold under Article XII rather than a limit stated elsewhere in Article II, the exception request under Section 6.04 shall state the specific covenant provision and facility type involved, and the Chief Risk Officer's concurrence under Section 6.06 shall separately address whether the covenant relief being requested is consistent with the documentation standard Section 12.12 otherwise requires.

6.16 Multiple obligors, one exception. Where the same business justification supports an exception for more than one obligor at substantially the same time, such as a single industry-wide event affecting several obligors' leverage calculations simultaneously, the deal team may submit one exception request covering all affected obligors, provided

the request identifies each obligor and its own exposure amount individually, rather than requesting a single blended exception amount across obligors.

6.17 Exception Register public within the firm. The Exception Register is available for inspection by any credit officer or Committee member on request, not only by the deal team that requested a specific exception, so that a credit officer underwriting a new exposure to an obligor already carrying an outstanding exception can identify it without a separate request to the Committee Secretary.

6.18 Standing exceptions prohibited. The Committee may not grant an exception with no stated expiration date or duration; every exception is bounded in time under Section 6.08, and a request purporting to seek a permanent or indefinite exception is treated as a request to amend the underlying limit itself under Article VII's amendment procedure, not as an Article VI exception request, and is routed accordingly.

6.19 Exception cost tracking. Where an exception carries an identifiable pricing or fee premium the firm charges in exchange for granting it, the Exception Register records the premium alongside the other fields Section 6.07 requires, so that the Committee's annual self-assessment under Article XVI Section 16.06 can consider whether the premiums charged across the exception population are commensurate with the incremental risk the exceptions represent.

6.20 Exception at origination versus exception on migration. An exception granted at origination, where the proposed exposure could not otherwise clear Section 2.02, is recorded in the Exception Register distinctly from an exception granted after origination because an existing exposure's grade or leverage has migrated beyond a limit it originally satisfied; the two share the same procedure under this Article but are analytically different events, and the Committee's own review under Section 16.06 considers the two populations separately.

6.21 Notice to the obligor of an internal exception. An Article VI exception is an internal control matter and this Policy does not require the firm to notify the obligor that an exception was granted; the deal team shall take care that any communication with the obligor about the firm's own internal approval process does not disclose the substance of an internal exception request or grant, which is confidential under Section 16.17.

ARTICLE VII — EFFECTIVENESS AND AMENDMENT REGISTER

7.01 Effective date. This edition of the Policy takes effect on 1 August 2026 and applies to every exposure approved on or after that date, including exposures under negotiation on that date.

7.02 Superseded editions. The edition dated 1 February 2026 and all committee memoranda issued under it cease to have effect on the date stated in Section 7.01.

7.03 Controlled copy. Only the copy held by the Committee Secretary is controlled. Where a circulated extract conflicts with the controlled copy, the controlled copy governs.

Edition	Effective	Status	Article II limit
2026-08-01	1 August 2026	Current, controlled	5.50x
2026-02-01	1 February 2026	Superseded	See superseded copy
2025-07-01	1 July 2025	Superseded	See superseded copy

Where a credit memorandum quotes a leverage gate that differs from Section 2.02, the reader should compare the memorandum's own date against Section 7.01 before treating the quoted figure as governing.

ARTICLE VIII — TAX-EQUIVALENT YIELD ASSUMPTIONS (COMMITTEE APPENDIX)

8.01 Marginal rate assumption. For any taxable-equivalent-yield comparison performed under this Policy, the deal team shall assume a federal corporate income tax rate of 21.00% and this firm's own assumed state corporate tax rate of 5.7500%, applied under the out-of-state-holder convention set out in the firm's modelling conventions memorandum.

8.02 CAMT status. This firm is an applicable corporation subject to the Corporate Alternative Minimum Tax under Section 59(k) of the Internal Revenue Code. A taxable-equivalent-yield calculation for a private-activity bond designated under Section 141 of the Code shall reflect that this firm's CAMT status limits the nominal federal tax exemption, and shall not apply the ordinary marginal-rate gross-up in that circumstance.

8.03 This appendix states a committee assumption for internal modelling purposes only. It is not a representation as to this firm's actual tax position and is not a substitute for the deal team's own tax diligence on any specific instrument.

ARTICLE IX — SWAP CURVE AND OPTION-COST ASSUMPTIONS (COMMITTEE APPENDIX)

9.01 Swap curve. For any I-spread comparison performed under this Policy, the deal team shall use this firm's own committee-supplied swap curve set out below, applied under the same term-bracketing interpolation convention the firm's modelling conventions memorandum sets out for the Treasury curve. This curve is a committee assumption for internal modelling purposes only; it is not a live-quoted market series and no verified live swap curve was staged for this engagement.

Tenor	Swap Rate
2 Years	3.9800%
3 Years	4.0300%
5 Years	4.0800%
7 Years	4.1500%
10 Years	4.2100%

9.02 Option-cost volatility assumption. Where an option-adjusted spread calculation is performed under this Policy, the deal team shall use an annualized short-rate volatility assumption of 1.2500%, supplied by the Committee for the option-cost leg of that calculation. This assumption does not itself supply an observed option-adjusted spread or option cost for any instrument; the deal team remains responsible for obtaining or deriving those figures independently before relying on this assumption.

9.03 This appendix states committee assumptions for internal modelling purposes only. Neither assumption is a representation as to actual market levels and neither is a substitute for the deal team's own diligence on any specific instrument.

ARTICLE X — INTERNAL RATING SCALE AND MAPPING

10.01 Purpose. This Article establishes the firm's own internal rating scale for leveraged finance and acquisition finance exposures, the mapping between that scale and the published scales the credit rating agencies use, and the notching conventions applied where an obligor's capital structure creates more than one class of debt with different priority. The scale exists independently of any external rating, reflecting that the majority of the firm's obligors under this Policy carry no public rating at all, and the mapping in Sections 10.12 through 10.14 is provided for the minority of obligors for whom an external rating happens to exist.

10.02 Grade 1. Grade 1 denotes an obligor whose pro forma leverage and interest coverage are consistent with an

investment-grade credit profile, whose cash flow is stable and diversified, and for whom the deal team's confirmatory diligence identified no material adverse finding. A Grade 1 exposure is reviewed at the standard annual interval set out in Article XIV. A Grade 1 designation is uncommon for a facility subject to this Policy at all, since Section 1.01 brings within scope only exposures whose pro forma leverage exceeds the threshold stated there or that arise from a change of control; where a Grade 1 designation is proposed, the credit memorandum shall state expressly why the exposure is within this Policy's scope notwithstanding the profile the grade otherwise implies.

10.03 Grade 2. Grade 2 denotes an obligor with a strong credit profile approaching but not fully consistent with investment grade, typically reflecting somewhat greater leverage or somewhat less diversification than Grade 1, but with comparably stable cash flow and no material adverse diligence finding. An obligor at Grade 2 typically operates in a single industry with a small number of customers representing a meaningful share of revenue, distinguishing it from the more diversified revenue base a Grade 1 obligor typically presents.

10.04 Grade 3. Grade 3 denotes an obligor with a solid credit profile within the leveraged finance band, typically the profile the Committee expects at origination for a well-sponsored transaction clearing the Section 2.02 gate with meaningful headroom, and for whom confirmatory diligence identified findings resolved to the Committee's satisfaction before closing. Grade 3 is the grade the Committee expects most newly originated, sponsor-backed exposures under this Policy to receive absent a specific factor pushing the grade higher or lower.

10.05 Grade 4. Grade 4 denotes an obligor at the upper end of the leveraged finance band for which the Section 2.02 gate is cleared with moderate rather than meaningful headroom, or for which confirmatory diligence identified a finding the Committee accepted subject to a post-closing condition rather than resolution before closing. A post-closing condition attached to a Grade 4 designation is tracked in the credit file and its satisfaction is confirmed at the exposure's next scheduled review under Article XIV, whether or not that review would otherwise have been due.

10.06 Grade 5. Grade 5 denotes an obligor whose pro forma leverage clears the Section 2.02 gate but approaches the Section 2.04 rating-sensitivity threshold, warranting the enhanced monitoring frequency the Committee sets for grades at or above 5. The transition from Grade 4 to Grade 5 is the point at which this Article's own review cadence, rather than the standard annual cadence, begins to apply, and the credit officer shall state expressly in the credit file when an exposure crosses that boundary.

10.07 Grade 6. Grade 6 denotes an obligor whose pro forma leverage is at or above the Section 2.04 rating-sensitivity threshold, or whose interest coverage under Article XII's covenant package is within the range the Committee treats as requiring heightened attention notwithstanding covenant compliance. An obligor may reach Grade 6 on either basis alone; the deal team or credit officer assigning the grade shall state which basis, or both, applies, since the two indicate different underlying stresses even where the resulting grade is the same.

10.08 Grade 7. Grade 7 denotes an obligor approved only as an Article VI exception, or an obligor whose grade has migrated to this level after origination as a result of underperformance against the approved base case, and is the highest grade eligible for approval only through the exception process rather than standard approval. An obligor migrating into Grade 7 after origination is reviewed at the Grade 7 cadence from the date of migration, without waiting for the next standard annual review date under Article XIV to make the change effective.

10.09 Grade 8. Grade 8 is a Watch List grade under Article XIII, denoting an obligor exhibiting one or more of the

downgrade triggers Article XIII Section 13.05 identifies, and requires the review cadence Article XIII sets for Watch List exposures. A Grade 8 designation is the boundary between the exception-eligible grades above it and the workout-adjacent grades below it, and the credit officer assigning a Grade 8 shall identify the specific Section 13.05 trigger relied upon rather than a generic reference to deteriorating performance.

10.10 Grade 9. Grade 9 is a Watch List grade denoting an obligor for whom the Committee has determined a credit-related decline in expected cash flow is probable, triggering the impairment escalation path described in Article XIII. The Grade 9 determination and the credit-related decline determination under Section 13.07 are the same determination stated in two places; a credit officer proposing a Grade 9 regrading without a corresponding Section 13.07 determination on file has not completed the requirement this Section presupposes.

10.11 Grade 10. Grade 10 denotes an obligor in payment default, in bankruptcy or insolvency proceedings, or otherwise subject to workout referral under Article XIII Section 13.09, and is the Committee's most severe internal grade. A Grade 10 exposure is transferred to the firm's workout function for day-to-day management even though the exposure remains recorded in the credit files this Policy's other Articles reference, and the workout function's own reporting supplements, rather than replaces, the Article XIII Watch List reporting for so long as the exposure remains outstanding.

10.12 Mapping to external agency scales - general convention. Where an obligor's or an instrument's external ratings are available, the deal team shall map them to the internal grades in this Article using the Committee's own correspondence table, reviewed at the interval set out in Article XIV, rather than a generic textbook correspondence. Corporate and municipal agency scales are not directly comparable to one another and must not be mixed within a single mapping exercise. Where an obligor carries ratings from more than one agency on the same scale that do not agree, the deal team shall map using the lower of the two ratings unless the Committee's own correspondence table states a different convention for a specific rating split.

10.13 Illustrative mapping - corporate scale. By way of illustration only, an external corporate rating in the single-B category on both major agencies' scales - for example a rating agency's Moody's-equivalent B1 alongside its S&P-equivalent B+ on the same obligor's senior notes - ordinarily maps, under the Committee's correspondence table, to a range spanning Grade 5 through Grade 7 depending on the obligor's own leverage and coverage profile under this Policy, which may differ from the position the agency ratings alone would suggest. The range spans three grades rather than a single point because two obligors carrying the identical external rating can present materially different pro forma leverage and coverage profiles under this Policy's own Article II and Article III conventions, which the external rating alone does not capture; the deal team's own Section 2.02 build, not the external rating, is the primary input to the internal grade.

10.14 Illustrative mapping - municipal scale. A municipal or industrial-revenue-bond obligor rated in the single-A category on the relevant agency's own municipal scale - for example an A3 rating from Moody's, the agency that assigns municipal ratings on this Policy's own convention - maps to a materially stronger internal grade than a single-B corporate rating would, reflecting the different default and recovery characteristics the municipal scale is calibrated to, and must never be read across to the corporate mapping in Section 10.13. Where the firm's exposure to a municipal or industrial-revenue-bond obligor is itself a bond holding rather than a Policy-governed facility, this

Article's grades are informational only; Article II's limits apply to a Policy-governed facility and do not themselves govern a bond holding, which is monitored under the firm's separate investment portfolio procedures.

10.15 Notching for structural subordination - holdco/opco. Where the proposed exposure is structurally subordinated behind operating-company indebtedness because it is extended to a holding company one or more corporate levels above the operating obligor, the internal grade otherwise indicated by Sections 10.02 through 10.11 is notched down by at least one full grade to reflect that structural subordination, in addition to any contractual subordination separately notched under Section 10.16. Where the holding company's own facility benefits from a guarantee from the operating obligor, or from an intercompany loan arrangement that effectively passes the operating obligor's cash flow up to the holding company ahead of other operating-level claims, the deal team shall state that mitigant in the credit memorandum and the Committee may apply a smaller notch than Section 10.15 would otherwise indicate, with the basis for the smaller notch stated in the credit file.

10.16 Notching for contractual subordination - second lien and unsecured. A second-lien facility is notched down from the grade a first-lien facility in the same obligor would receive, and an unsecured facility is notched down further still, in each case reflecting the relative position established under Section 2.10's lien-priority sub-limits; the magnitude of the notch is set by the Committee's own correspondence table referenced in Section 10.12, not assumed to be uniform across obligors. Where the firm holds both a first-lien and a second-lien position in the same obligor, each position is graded separately under this Section rather than a single blended grade being assigned to the obligor's aggregate exposure, so that Article XI's grade-driven approval routing applies to each position on its own terms.

10.17 Grade migration record. The credit officer shall record every internal grade migration, whether an improvement or a deterioration, in the credit file with the date of migration and the basis for it, distinct from the annual reaffirmation Section 5.13 otherwise requires; a grade that has not migrated since the prior annual review is stated as reaffirmed, not simply left unstated.

10.18 Grade override. The Committee may assign an internal grade other than the grade Sections 10.02 through 10.11 would otherwise indicate, where the Committee states in the credit file the specific factor warranting the override and why that factor is not already reflected in the grade the standard criteria would produce; an override is itself logged in the same manner as an Article VI exception, though it is not an exception to a numerical limit and does not require the Chief Risk Officer's concurrence under Section 6.06 unless the override also has the effect of avoiding an Article XI escalation that would otherwise apply.

10.19 New-obligor grade at origination. Where an obligor is new to the firm, the internal grade assigned at origination is the grade Sections 10.02 through 10.11 indicate on the base case presented under Article V, without any presumption toward a specific grade based on the obligor's industry or sponsor identity alone; two obligors sponsored by the same financial sponsor may properly carry different internal grades where their own leverage and coverage profiles differ.

10.20 Grade consistency across a syndicate. Where the firm holds an exposure alongside other lenders in a syndicated facility, the internal grade assigned under this Article is the firm's own grade, determined under this Article's own criteria; it need not match any grade or rating another syndicate member applies under that member's

own internal framework, and the deal team shall not treat another lender's grading of the same facility as a substitute for the firm's own determination under this Article.

10.21 Grade history retained across a refinancing. Where an obligor's existing facility is refinanced by a new facility from the firm, whether or not any other term changes, the obligor's prior grade history under this Article is carried forward and referenced in the new facility's own credit memorandum, so the Committee can see the obligor's grading trend across the refinancing rather than treating the refinanced facility as though it had no grading history at all.

10.22 Grades assigned to a bridge facility. Where the firm extends a short-term bridge facility pending permanent financing, the bridge facility receives its own internal grade under this Article at origination, tested on the assumption that permanent financing is obtained on the terms the credit memorandum describes; if permanent financing does not close on those terms before the bridge facility's own maturity, the credit officer shall reassess the grade under this Article's ordinary criteria rather than continuing to rely on the permanent-financing assumption.

Internal Grade	Descriptor	Review Frequency
1	Investment-grade-consistent profile	Annual
2	Strong, near investment grade	Annual
3	Solid leveraged finance profile	Annual
4	Upper leveraged finance band	Annual
5	Approaching rating-sensitivity threshold	Semi-annual
6	At or above rating-sensitivity threshold	Semi-annual
7	Exception-only / migrated	Semi-annual
8	Watch List - trigger identified	Quarterly
9	Watch List - impairment probable	Quarterly
10	Default / workout	Quarterly or as directed

ARTICLE XI — APPROVAL AUTHORITY

11.01 Purpose. This Article states the required approver for a proposed exposure by exposure band and by internal grade under Article X, and the escalation path for an exposure exceeding the Article II leverage limits, which Article VI already governs and this Article does not restate except by cross-reference. The grid this Article states is the mechanical form of the authorization chain: the exposure band and internal grade together determine the required approver, and no submission may be routed to a lower approver than the grid indicates on the basis of urgency alone, absent the interim procedure Section 11.08 provides.

11.02 Exposure bands - basis. Exposure bands in this Article are expressed as a share of the Committed Facility Exposure most recently approved for the firm's revolving facility to the obligor, or, where no revolving facility exists, the aggregate committed exposure across all facilities to the obligor. The Committed Facility Exposure itself is the amount stated in the credit agreement's revolving commitments section and confirmed in the illustrative facility exposure the approval matrix records. Where the obligor's facilities are amended to increase the committed amount after the original approval, the increased amount becomes the Committed Facility Exposure for purposes of this Article from the date of the amendment, and the increase itself is routed for approval under this Article's own grid measured against the increase alone, not the pre-amendment amount.

11.03 Lower exposure bands. A proposed exposure up to one-quarter of the Committed Facility Exposure, to an obligor graded 1 through 4 under Article X, may be approved by the Credit Officer alone. A proposed exposure above one-quarter and up to one-half of the Committed Facility Exposure, to an obligor graded 1 through 6, requires

the Credit Officer's approval together with the deal team's Head. The Credit Officer approving under this Section shall be a different individual from any member of the originating deal team, consistent with the independent-review principle Section 5.10 states for larger submissions, even though this Section's own threshold sits below the level at which Section 5.10's formal independent-review requirement is triggered.

11.04 Higher exposure bands. A proposed exposure above one-half of the Committed Facility Exposure, up to the full Committed Facility Exposure, requires Credit Risk Committee approval regardless of internal grade. A proposed exposure in excess of the full Committed Facility Exposure requires Credit Risk Committee approval together with the Chief Risk Officer's written concurrence, whether or not the exposure also requires an Article VI exception on some other ground. The Chief Risk Officer's concurrence required by this Section is evidenced in the credit file distinctly from any Schedule E concurrence given under Section 6.06 for an unrelated Article VI exception on the same exposure, even where the same individual gives both.

11.05 Grade-driven escalation regardless of band. Any exposure to an obligor graded 8, 9 or 10 under Article X requires Credit Risk Committee approval regardless of the exposure band that would otherwise apply under Sections 11.03 and 11.04, and additionally requires the Chief Risk Officer's written concurrence where the obligor is graded 9 or 10. This Section applies to an INCREASE in an existing Grade 8, 9 or 10 exposure; it does not itself require Committee approval merely to ratify a grade migration into one of those grades where the exposure amount itself is not changing, which is instead governed by Section 13.02's automatic Watch List placement and reporting.

11.06 Interaction with Article II. Nothing in this Article lowers the approval standard Article VI requires for an exposure that breaches an Article II limit; where an exposure both exceeds an exposure band under this Article and requires an Article VI exception, both requirements apply cumulatively. A single Committee meeting may address both the Article VI exception vote and the approval this Article requires in one agenda item, provided the minutes record the two votes, if separately taken, or the single vote's basis for satisfying both requirements, if taken together.

11.07 Delegation and sub-delegation. The Credit Officer authority described in Section 11.03 may be sub-delegated in writing to a named deputy for a stated period, but sub-delegation does not itself change the exposure band or grade threshold at which Credit Risk Committee approval becomes mandatory under Sections 11.04 and 11.05. A sub-delegation lapses automatically at the end of its stated period without further action, and an approval given under a lapsed sub-delegation is not effective under this Article.

11.08 Interim and emergency approval. Where a transaction timeline requires approval before the Committee's next regularly scheduled meeting, interim approval may be obtained by written consent of a quorum of Committee members at the standard otherwise applicable to the exposure band and grade, and shall be ratified at the Committee's next regularly scheduled meeting. Interim approval that is not ratified at the next regularly scheduled meeting is reported to the Committee at that meeting as unratified, and the Committee Secretary shall record the reason ratification did not proceed.

11.09 Appeal of a required-approver determination. A deal team disputing which approval level applies to a proposed exposure may request the Committee Secretary's determination, which is final for purposes of routing the submission; a dispute about the determination does not suspend the requirement to obtain approval at the higher of the levels in question pending resolution. The Committee Secretary's determination under this Section is itself

recorded in the credit file so that a later reviewer can see which level applied and why, distinct from the substantive approval decision that follows it.

11.10 Reporting of grid utilization. The Committee Secretary shall report, at the interval set out in Article XIV, the distribution of approvals across the exposure bands and grades in this Article, for the Committee's own use in assessing whether the grid remains calibrated to the firm's actual origination activity. Where the reporting shows a concentration of approvals immediately below a band boundary, the Committee shall consider whether the boundary itself, rather than any individual approval, warrants revisiting at the Committee's own initiative.

11.11 Relative-value comparisons in an approval decision. Where an approval decision under this Article turns in part on a comparison between the proposed exposure's economics and a tax-exempt or municipal alternative available to the same obligor or a comparable one, that comparison, if performed on a taxable-equivalent-yield basis, shall be computed under the tax-assumption appendix at Article VIII, using the marginal-rate and CAMT-status assumptions stated there rather than an alternative assumption the deal team supplies for the specific decision.

11.12 Recordkeeping for grid determinations. The exposure band, internal grade, and required approver actually applied to a proposed exposure are recorded in the credit file at approval, so that the annual re-underwriting under Section 5.13 can confirm whether the same band and approver would still apply on then-current information, or whether migration under Article X has moved the exposure to a different required approver since origination.

11.13 Joint exposures across deal teams. Where more than one deal team originates a share of the same proposed exposure, such as a club transaction with an internal split of the hold, the approval level under this Article is determined by the firm's aggregate Committed Facility Exposure across every deal team's share, not by any single deal team's own portion considered in isolation, and a single approval covers the aggregate exposure rather than each deal team separately seeking approval for its own share.

11.14 Approval level for a partial paydown. A voluntary or mandatory partial paydown that reduces an outstanding exposure does not itself require a new approval under this Article; the exposure's own approval level, once established, is not revisited merely because the outstanding amount has fallen into a lower band, though the credit officer notes the reduced outstanding amount at the exposure's next scheduled review under Article XIV.

Exposure Band	Internal Grade	Required Approver	Reference
Up to one-quarter of the Committed Facility Exposure	Grades 1-4	Credit Officer	Sec11.03
Above one-quarter up to one-half of the Committed Facility Exposure	Grades 1-6	Credit Officer and Deal Team Head	Sec11.03
Above one-half up to the full Committed Facility Exposure	Any grade 1-7	Credit Risk Committee	Sec11.04
In excess of the full Committed Facility Exposure	Any grade	Credit Risk Committee and Chief Risk Officer	Sec11.04; Art. VI Sec6.01
Any exposure, any band	Grades 8-9 (Watch List)	Credit Risk Committee	Sec11.05
Any exposure, any band	Grade 10 (Default/workout)	Credit Risk Committee and Chief Risk Officer	Sec11.05

ARTICLE XII — COVENANT PACKAGE REQUIREMENTS BY FACILITY TYPE

12.01 Purpose. This Article states the minimum financial covenant package and documentation standard required

for each facility type the firm extends under this Policy, rendered from the firm's own covenant thresholds and not from any single obligor's negotiated terms. Where a specific transaction's negotiated covenant package is looser than this Article requires, the gap is an Article VI matter under Section 6.15, not a silent departure from this Article's own minimum standard.

12.02 Revolving credit facility - leverage covenant. A revolving credit facility shall include a maintenance total net leverage covenant tested quarterly, set no looser than 5.25x, the maximum total net leverage threshold this Policy's Article II records for covenant-reference purposes; a revolving facility documented without a maintenance leverage covenant requires an Article VI exception. The covenant level stated here is a documentation floor, not a target; the deal team may negotiate a tighter, lower covenant level for a specific obligor and shall state the negotiated level in the credit memorandum distinctly from this Article's own floor.

12.03 Revolving credit facility - coverage covenant. A revolving credit facility shall include a maintenance fixed-charge coverage ratio covenant tested quarterly, set no looser than 1.25x, the minimum fixed-charge coverage ratio this Policy's covenant thresholds specify, with the numerator and denominator components defined consistently with the credit agreement's own definitions rather than a generic textbook fixed-charge formula. Where the credit agreement's fixed-charge coverage definition nets cash interest against interest income, or excludes a specific category of fixed charge such as operating lease payments, the deal team shall state that treatment expressly, since the resulting ratio is not comparable to a fixed-charge coverage ratio computed on a different convention.

12.04 Term Loan A - covenant package. A Term Loan A facility carries the same maintenance leverage and coverage covenants as the revolving facility extended alongside it, tested on the same schedule, reflecting that Term Loan A is customarily documented under the same credit agreement as the revolver rather than a separate covenant package. Where a Term Loan A facility is documented under a separate agreement from the revolver notwithstanding this customary practice, the deal team shall state the reason and confirm that the two agreements' covenant definitions are drafted consistently with one another.

12.05 Term Loan B / institutional term loan - covenant-lite convention. A Term Loan B or other institutional term loan may be documented on a covenant-lite basis, carrying only an incurrence-based leverage test rather than a quarterly maintenance test, provided that any revolving facility extended alongside it retains the maintenance covenants described in Sections 12.02 and 12.03 for the benefit of all lenders under a cross-default or springing-covenant mechanism the deal team shall describe in the credit memorandum. Where the revolving facility itself is undrawn at closing and the springing-covenant mechanism therefore does not test until a stated utilization threshold is crossed, the deal team shall state that threshold and confirm it is consistent with market practice for facilities of comparable size.

12.06 Delayed-draw term loan. A delayed-draw term loan carries the same covenant package as the term facility it is documented alongside, tested from the date of the facility's first draw, and its undrawn commitment is itself tested against the single-obligor limit in Section 2.06 as though fully drawn, for purposes of that limit only. Where the delayed-draw commitment is intended to fund a specific, identified add-on acquisition, the credit memorandum shall state the acquisition it is intended to fund and the outside date by which the commitment expires if that acquisition does not close.

12.07 Incremental and accordion facilities. An incremental or accordion facility incurred under an existing credit agreement's own accordion mechanism is tested against this Article's covenant requirements on a pro forma basis at the time of incurrence, using the credit agreement's own pro forma leverage test for incremental debt, which may differ from the Section 2.02 test this Policy applies at initial approval. Where the accordion mechanism permits incurrence without a leverage test at all below a stated free-and-clear basket, the deal team shall state the size of that basket and confirm that its aggregate utilization is tracked against the single-obligor limit in Section 2.06 even where no individual accordion draw itself triggers Committee approval.

12.08 Letter of credit sub-facility. A letter of credit sub-facility carried within a revolving credit facility's commitment is not tested separately against this Article's covenants; its utilization is included in the revolving facility's own utilization for purposes of Section 2.06's aggregate hold limit. Where a letter of credit is issued for the benefit of a third party unrelated to the obligor's ordinary course of business, such as a surety supporting a litigation appeal, the deal team shall state that purpose in the credit memorandum distinctly from an ordinary-course letter of credit supporting trade or lease obligations.

12.09 Minimum liquidity covenant. Where the obligor's business is subject to material seasonality or working-capital swings the deal team identifies in the credit memorandum, the facility shall include a minimum liquidity covenant, tested at the frequency the credit agreement specifies, in addition to the leverage and coverage covenants otherwise required by this Article. The minimum liquidity level shall be set with reference to the obligor's own seasonal low point identified in the base case, not to an average liquidity level across the year that would understate the covenant's practical bite at the seasonal trough.

12.10 Capital expenditure basket. The credit agreement shall state a capital expenditure basket consistent with the obligor's projected capital expenditure in the base case submitted under Article V, and any carry-forward or step-up mechanism for unused capacity shall be identified in the credit memorandum together with its effect on the pro forma leverage test. Where the base case assumes a specific, identified growth capital project, the deal team shall state whether the basket is sized to accommodate that project on top of ordinary maintenance capital expenditure, or whether the project competes with maintenance spending for the same basket capacity.

12.11 Restricted payments cross-reference. The credit agreement's restricted payments covenant, including any basket permitting distributions to the sponsor, is reviewed for consistency with the management and monitoring fee treatment in Article III Section 3.11, and any inconsistency between the two shall be flagged in the credit memorandum rather than resolved by assuming one governs the other. Where the restricted payments covenant permits a distribution measured as a percentage of Consolidated EBITDA, the deal team shall confirm whether that percentage uses the same Consolidated EBITDA definition Article III Section 3.01 applies for Section 2.02 purposes, or a differently defined measure specific to the restricted payments covenant.

12.12 Documentation standard. Facility documentation shall follow the firm's own current form of credit agreement for the relevant facility type, as maintained by the firm's legal function, and any material deviation from that form negotiated for a specific transaction shall be summarized in the credit memorandum under Article V Section 5.01. The legal function's current form is version-controlled in the same manner as this Policy's own Amendment Register under Article VII, and the deal team shall state which version of the form the transaction's documentation is based

on.

12.13 Cross-default and cross-acceleration. The credit agreement shall include a cross-default provision referencing every other material indebtedness of the obligor identified in the credit memorandum, and the deal team shall confirm that the cross-default threshold is consistent with the aggregation approach Article II Section 2.16 requires for single-obligor limit testing. Where the cross-default provision distinguishes cross-default (a default under the other indebtedness) from cross-acceleration (an actual acceleration of the other indebtedness), the deal team shall state which of the two the credit agreement actually provides for, since the two produce materially different remedies timelines.

12.14 Covenant compliance certificate cycle. The credit agreement shall require a compliance certificate at the same frequency as the maintenance covenants this Article requires are tested, and the certificate's own leverage and coverage calculations shall be reconciled to the Section 2.02 and Article III calculation conventions before the certificate is accepted as evidence of compliance. Where the compliance certificate's own calculation differs from the credit memorandum's base-case calculation for the same period, the credit officer responsible for ongoing monitoring shall reconcile the difference and document the reconciliation in the credit file rather than relying on whichever figure is more favourable.

12.15 Springing financial covenant on the delayed-draw commitment. A delayed-draw term loan's undrawn commitment is not itself tested against the maintenance covenants under Sections 12.02 and 12.03 until its first draw, but the deal team shall confirm at each compliance certificate cycle before the first draw that the pro forma leverage test the obligor would face on a then-hypothetical full draw remains within the Section 2.02 gate, so that the commitment does not become effectively undrawable without the deal team having flagged the reason in advance.

12.16 Facility-type summary table. The table below states, for each facility type this Article addresses, the leverage and coverage covenant convention this Article requires and the Section stating the convention in full; it is a summary only and does not itself override the fuller statement in Sections 12.02 through 12.15.

12.17 Equal and ratable clauses. Where the credit agreement includes an equal-and-ratable clause requiring that any lien granted to a later creditor also secure the firm's own facility equally and ratably, the deal team shall confirm the clause's own carve-outs (for example, a carve-out for purchase-money liens on newly acquired equipment) and state whether any lien the obligor has granted since origination falls within a carve-out or should have triggered the equal-and-ratable obligation.

12.18 Intercreditor agreement review. Where the obligor's capital structure includes more than one secured facility ranking at different lien priorities, the credit memorandum shall summarize the intercreditor agreement's own standstill period, its lien-subordination terms, and its provisions governing the junior lienholder's remedies, distinct from the lien-priority sub-limit analysis Article II Section 2.10 otherwise requires, since the intercreditor agreement's specific terms can matter even within a single lien-priority sub-limit band.

12.19 Financial reporting covenant. The credit agreement shall require delivery of annual audited financial statements and quarterly unaudited financial statements within the periods customary for facilities of comparable size, together with the compliance certificate Section 12.14 requires; a facility documented without a stated delivery

period for either is treated, for purposes of Section 5.02's sourcing requirement, as though timely delivery cannot yet be confirmed.

12.20 Negative covenant summary - indebtedness and liens. The credit agreement's negative covenants restricting the obligor's incurrence of additional indebtedness and the granting of additional liens are reviewed for consistency with the basket and sub-limit analysis this Article and Article II otherwise require; a negative covenant basket permitting indebtedness or liens beyond what Article II's own sub-limits contemplate is flagged in the credit memorandum as a gap between the credit agreement's own permissions and this Policy's internal limits, which are not the same thing and need not coincide.

12.21 Amendment and waiver voting threshold. The credit agreement's own voting threshold for an amendment or waiver, typically stated as a majority or a super-majority of lenders by commitment, is stated in the credit memorandum where the firm's own hold under Section 2.06 is small enough relative to the syndicate that the firm alone cannot block an amendment or waiver the firm's credit officer might otherwise oppose.

Facility Type	Leverage Covenant	Coverage Covenant	Basis
Revolving Credit Facility	Maintenance, quarterly	Maintenance, quarterly	Sec12.02-12.03
Term Loan A	Maintenance, quarterly (shared)	Maintenance, quarterly (shared)	Sec12.04
Term Loan B / Institutional	Incurrence-based only	None (covenant-lite)	Sec12.05
Delayed-Draw Term Loan	As co-facility, from first draw	As co-facility, from first draw	Sec12.06
Incremental / Accordion	Pro forma, at incurrence	Pro forma, at incurrence	Sec12.07
Letter of Credit Sub-Facility	Tested within revolver	Tested within revolver	Sec12.08

ARTICLE XIII — WATCH LIST AND IMPAIRMENT

13.01 Purpose. This Article states the criteria for placing an exposure on the firm's Watch List, the review cadence once an exposure is on the Watch List, and the escalation path from Watch List status to impairment recognition and workout referral. This Article addresses the firm's own loan and facility exposures under this Policy; it does not address, and must not be read as addressing, the classification of any separate investment security the firm may hold, which is governed by the firm's own investment portfolio procedures rather than this Policy.

13.02 Watch List placement - grade trigger. An exposure whose internal grade under Article X migrates to Grade 8 or worse is placed on the Watch List automatically, without a separate Committee vote, though the migration itself is reported to the Committee at its next regularly scheduled meeting. Automatic placement under this Section does not depend on which of Sections 10.07 through 10.09 caused the migration; any migration to Grade 8 or worse, by whatever route, has the same Watch List consequence.

13.03 Watch List placement - covenant trigger. An exposure that breaches, or comes within the cushion the Committee has designated as a covenant warning level of breaching, a maintenance covenant under Article XII is placed on the Watch List regardless of its current internal grade, pending the grade reassessment Section 13.02 separately requires. Where the covenant breach is itself the subject of a pending waiver request under Article VI, Watch List placement under this Section proceeds notwithstanding the pending request; a granted waiver does not itself remove the exposure from the Watch List, which requires the separate determination Section 13.12 states.

13.04 Watch List placement - qualitative trigger. The credit officer responsible for an exposure may place it on the Watch List on a qualitative basis, without either trigger in Sections 13.02 or 13.03, where the officer identifies a

material adverse development not yet reflected in the obligor's reported financial results, subject to the Committee's ratification at its next regularly scheduled meeting. A qualitative placement the Committee does not ratify is removed from the Watch List retroactively to its placement date, and the credit officer's basis for the placement is nonetheless retained in the credit file as a record of the concern considered.

13.05 Downgrade triggers enumerated. The triggers the credit officer shall consider for purposes of Section 13.04 include, without limitation: loss of a customer or contract representing a material share of the obligor's revenue; a change in senior management the officer assesses as destabilizing; a covenant amendment or waiver request from the obligor; and a rating agency action, whether or not it independently triggers the Section 2.04 rating-sensitivity assessment. A single trigger from this list does not itself require placement; the officer exercises judgment as to whether the specific instance of the trigger is material to the obligor's own circumstances, and shall state that judgment in the credit file whether or not placement results.

13.06 Review cadence on the Watch List. An exposure on the Watch List is reviewed at the cadence Article X Section 10.09's grade descriptor specifies, which is more frequent than the standard annual cadence Article XIV sets for exposures not on the Watch List, and the review shall update the internal grade under Article X at each cycle. Where an exposure remains on the Watch List for more than one full review cycle without further deterioration, the credit officer's review shall nonetheless proceed at the full Watch List cadence; a period of stability does not itself relax the cadence absent removal under Section 13.12.

13.07 Credit-related decline determination. The credit officer shall determine, at each Watch List review, whether a credit-related decline in the obligor's expected cash flow is probable, applying the same standard the firm's accounting policy uses to determine whether a financial asset is credit-impaired, and shall document the basis for that determination in the credit file. The determination addresses the firm's own credit exposure under this Policy; it is a separate determination from any impairment assessment the firm's accounting function performs on the firm's investment portfolio, and the two are not to be conflated or cross-referenced as though one determination substitutes for the other.

13.08 Impairment escalation path. Where a credit-related decline is determined probable under Section 13.07, the exposure is regraded to Grade 9 under Article X Section 10.10, and the credit officer shall prepare a specific-reserve request identifying the estimated amount of the decline for the firm's own accounting and reporting purposes, separately from any covenant or leverage calculation this Policy otherwise requires. The specific-reserve estimate is a credit-function estimate for internal purposes and is reconciled with, but does not itself constitute, any reserve the firm's accounting function ultimately records.

13.09 Workout referral criteria. An exposure is referred to the firm's workout function where the obligor is in payment default beyond any cure period, has commenced or is reasonably expected imminently to commence insolvency proceedings, or has been regraded to Grade 10 under Article X Section 10.11 on any other basis the credit officer identifies. A referral does not itself require Committee approval separate from the Grade 10 regrading under Article XI Section 11.05, which already requires Committee approval on the same facts.

13.10 Specific-reserve request procedure. A specific-reserve request under Section 13.08 shall state the estimated recoverable amount and the basis for that estimate, and shall be reviewed by the independent reviewer described in

Article V Section 5.10 before it is submitted to the Committee, in the same manner as an original credit submission. The estimated recoverable amount shall be supported by the collateral or cash flow analysis the credit officer relied upon, stated with enough specificity that the independent reviewer can trace the estimate to its inputs rather than accepting a bare figure.

13.11 Quarterly Watch List reporting. The Committee Secretary shall report the full Watch List, by obligor, grade and trigger, to the Committee at each regularly scheduled meeting, and to the firm's Board Risk Committee at the interval set out in Article XIV. The report shall use Schedule B as its standard form and shall separately flag any obligor added to or removed from the Watch List since the prior report, so the Committee can see the list's own turnover rather than only its current composition.

13.12 Removal from the Watch List. An exposure is removed from the Watch List only upon a Committee determination that the trigger giving rise to placement has been resolved and the internal grade has been reassessed under Article X to a grade of 7 or better; removal is not automatic upon the passage of time alone. The Committee's removal determination is recorded in the credit file with the same specificity Section 13.05 requires of a placement determination, identifying which trigger was resolved and how.

13.13 Interaction with Article VI. A Watch List placement is not itself an Article VI exception and does not require the Chief Risk Officer's concurrence under Section 6.06 unless the exposure separately requires an exception on its own facts, for example because it now breaches a limit under Article II that its improved or worsened grade would otherwise trigger under Article XI's grade-driven escalation in Section 11.05.

13.14 Portfolio-level Watch List trend. In addition to the per-obligor reporting Section 13.11 requires, the Committee Secretary shall report the aggregate Watch List balance as a share of the total book at the interval set out in Article XIV, so that the Committee can see whether Watch List incidence is trending up or down across the portfolio as a whole, independently of any single obligor's own circumstances.

13.15 Early-warning indicators short of a formal trigger. The credit officer may maintain an internal early-warning note on an exposure not yet meeting any Section 13.02 through 13.05 trigger, where the officer observes a development worth watching but not yet material enough to warrant Watch List placement; an early-warning note is not itself reported under Section 13.11 and does not change the exposure's internal grade, but is retained in the credit file so that a later placement decision can be traced to when the officer first observed the underlying concern.

13.16 Restructuring short of workout referral. Where an obligor's difficulties can reasonably be addressed by an amendment, a maturity extension, or a covenant reset negotiated directly with the obligor rather than a formal workout, the credit officer may pursue that negotiated restructuring while the exposure remains on the Watch List rather than referring it to the workout function under Section 13.09, provided the officer states in the credit file why a negotiated restructuring, rather than a workout referral, is the appropriate path for the specific obligor.

13.17 Collateral revaluation on the Watch List. Where the exposure is secured, the credit officer shall obtain a current valuation of the collateral at each Watch List review under Section 13.06, rather than relying on the valuation obtained at origination, since collateral value is a primary input to the specific-reserve estimate Section 13.10 requires once an impairment determination under Section 13.07 is made.

ARTICLE XIV — ANNUAL REVIEW CALENDAR

14.01 Purpose. This Article states the calendar for the periodic activities this Policy elsewhere requires, expressed in relative terms so that the calendar applies uniformly regardless of any particular obligor's or exposure's own dates. Stating the calendar in relative terms also means that a later edition of this Policy can be adopted, under Article VII, without requiring every outstanding exposure's own review date to be individually recalculated against a new absolute reference point.

14.02 Standard annual review. Every exposure not on the Watch List is re-underwritten under Article V Section 5.13 within twelve months of its previous review, or within twelve months of origination for an exposure not yet reviewed, whichever applies. Where an exposure's twelve-month window would fall within a period the credit officer responsible for it is on extended leave or otherwise unavailable, the Committee Secretary shall reassign the review to another credit officer rather than allow the window to lapse unreviewed.

14.03 Watch List review cadence. An exposure on the Watch List is reviewed at the cadence Article XIII Section 13.06 sets by reference to its internal grade, which supersedes the standard annual cadence in Section 14.02 for so long as the exposure remains on the Watch List. Upon removal from the Watch List under Article XIII Section 13.12, the exposure returns to the standard annual cadence measured from the date of removal, not from its original placement or origination date.

14.04 Limit-utilization and grid-utilization reporting. The annual limit-utilization report under Article II Section 2.20 and the grid-utilization report under Article XI Section 11.10 are each compiled once within each twelve-month cycle measured from the Policy's own effective date under Article VII, and presented to the Committee at the first regularly scheduled meeting following compilation. The two reports are compiled together, since both draw on the same underlying exposure population, but are presented as separate agenda items so that the Committee can consider limit utilization and approval-grid calibration separately.

14.05 Board reporting cycle. The aggregate exception reporting under Article VI Section 6.09 and the Watch List reporting under Article XIII Section 13.11 are each escalated to the firm's Board Risk Committee at the interval the Board Risk Committee itself has set for credit-related reporting, which this Policy does not independently shorten or lengthen. Where the Board Risk Committee's own interval changes, the Committee Secretary conforms this Policy's escalation cadence to the new interval without waiting for a formal amendment to this Article, since the interval itself is set elsewhere and this Article merely cross-references it.

14.06 Off-cycle review triggers. Nothing in this Article limits a review to the calendar stated above; any trigger elsewhere in this Policy - a Watch List placement, an exception request, a rating action, or a qualitative development under Article XIII Section 13.04 - requires an off-cycle review whenever the trigger occurs, without regard to how much of the standard cycle has elapsed. An off-cycle review does not reset the standard cycle under Section 14.02; the next standard review remains due at the date it would otherwise have been due, computed from the prior standard review, not from the intervening off-cycle review.

14.07 Sequencing where more than one trigger applies. Where more than one off-cycle trigger under Section 14.06 applies to the same exposure at or near the same time, the credit officer shall conduct a single consolidated off-cycle review addressing every applicable trigger, rather than a separate review for each, so that the Committee receives one integrated assessment of the exposure's current position.

14.08 Calendar for the stress-testing cycle. The portfolio-level stress exercise under Article XVII, the reverse stress test under Article XVII Section 17.06, and the model validation under Article XVII Section 17.10 are each conducted once within each twelve-month cycle measured from the Policy's own effective date under Article VII, on the same measurement convention Section 14.04 already applies to the limit-utilization and grid-utilization reports.

14.09 Policy training cycle. The training Article XVI Section 16.08 requires is completed within each twelve-month cycle measured from the Policy's own effective date under Article VII, or within thirty days of an individual first becoming a credit officer or gaining Article XI approval authority if later, so that training currency is measured consistently across the credit function regardless of when in the cycle an individual joined it.

ARTICLE XV — DEFINITIONS AND INTERPRETATION AIDS

15.01 “Obligor” means the borrower or other primary credit party under a facility subject to this Policy, together with any guarantor whose guarantee this Policy treats as part of the same exposure for aggregation purposes under Article II. Where a facility has more than one co-borrower, each co-borrower is an Obligor for purposes of this Policy, and the aggregation Article II requires runs across every co-borrower's other exposures, not only the exposure the co-borrowers share.

15.02 “Sponsor” means the financial sponsor or other controlling equity holder of the Obligor at the time of the proposed exposure, for purposes of Article II Section 2.12's aggregate sponsor-relationship limit. A management team retaining a minority equity position alongside a financial sponsor is not itself a Sponsor for purposes of this definition unless the management team also holds control, consistent with the aggregation Section 2.12 tests by reference to control rather than to mere equity participation.

15.03 “Facility” means a single credit facility documented under one credit agreement or indenture, without regard to whether the Obligor maintains other facilities under other documents. Two tranches documented under the same credit agreement, such as a revolver and a term loan sharing one set of covenants, are treated as two Facilities for purposes of the facility-type covenant package under Article XII, even though they share one Exposure aggregation under Article II.

15.04 “Exposure” means the firm's committed amount under a Facility, tested at the Committed Facility Exposure level under Article XI Section 11.02 regardless of the amount currently drawn. A letter of credit sub-facility's Exposure is its own stated sub-limit, not the full amount of the revolving Facility carrying it, consistent with Article XII Section 12.08's treatment of that sub-facility as tested within the revolver's own utilization rather than as an incremental Exposure.

15.05 “Tenor” means the stated final maturity of a Facility measured from the date of initial funding or, for a revolving Facility, from the date of the commitment. A springing maturity provision that shortens the stated final maturity upon a triggering event, such as the obligor's senior notes remaining outstanding within a stated period of the Facility's original stated maturity, does not itself change the Facility's Tenor for Section 2.09 purposes unless and until the trigger actually occurs.

15.06 “Basket” means a stated dollar or ratio-based capacity within a credit agreement covenant permitting an otherwise-restricted action, as distinguished from an unconditional permission. A Basket that grows with Consolidated EBITDA, sometimes described as a “grower basket,” is still a Basket for purposes of this definition; its

capacity simply varies period to period rather than being fixed.

15.07 “Sub-limit” means a limit within a broader limit under Article II, applicable to a defined subset of exposures (by lien priority, industry, geography or otherwise) sharing that broader limit's aggregate capacity. A Sub-limit is always tested in addition to, never in substitution for, the broader limit it sits within; an exposure satisfying its own Sub-limit while breaching the broader limit is still non-compliant under Article II.

15.08 “Internal Grade” means the grade assigned under Article X, as distinguished from any external agency rating referenced for mapping purposes under Article X Section 10.12. An Internal Grade attaches to a specific Exposure, not to the Obligor generally, so an Obligor with more than one Facility of different lien priority carries a distinct Internal Grade for each, consistent with Article X Section 10.16's separate-grading rule for first-lien and second-lien positions.

15.09 “Watch List” means the list of exposures placed under heightened review under Article XIII, as distinguished from an exposure merely approved as an Article VI exception, which is not on the Watch List solely by virtue of the exception. An exposure can be both on the Watch List and the subject of an outstanding Article VI exception at the same time; the two statuses are independent and neither implies the other.

15.10 “Committed Facility Exposure” is the amount Article XI Section 11.02 identifies as the basis for the exposure bands stated in that Article. Where the Obligor has no revolving Facility and the Committed Facility Exposure is instead the aggregate committed exposure across all Facilities, the deal team shall state that basis expressly in the credit memorandum rather than leaving the reader to infer which of Section 11.02's two measures applies.

15.11 “Credit Officer” means the officer with primary responsibility for an exposure's ongoing credit relationship, as distinguished from the deal team that originated the exposure, which may or may not include the same individual. Where the Credit Officer and a member of the originating Deal Team are the same individual, Article XI Section 11.03's lower-band approval by the Credit Officer alone is not available for that individual's own originated exposures; a different Credit Officer approves in that circumstance.

15.12 “Deal Team” means the officers responsible for originating and negotiating a proposed exposure through to closing, whose responsibility for the exposure may continue after closing only to the extent Article V Section 5.12's handoff memorandum so provides. The Deal Team's Head, referenced in Article XI Section 11.03, is the individual the Deal Team itself designates as its head for purposes of that Section, which need not be the most senior individual on the Deal Team generally.

15.13 “Credit Risk Committee” and “Committee” mean the committee described in Article I Section 1.02, and do not include the firm's separate Board Risk Committee referenced in Article VI Section 6.10 and Article XIV Section 14.05. Where this Policy refers to “the Committee's own” guidance, table or threshold, the reference is to guidance, a table or a threshold the Committee itself has adopted, distinct from a market or agency convention this Policy separately references.

15.14 “Chief Risk Officer” means the officer whose written concurrence Article VI Section 6.01 and Article XI Sections 11.04 and 11.05 require for the exceptions and approvals there described. The Chief Risk Officer's concurrence is personal to that office; a delegation of the Committee's own authority under Article XI Section 11.07 does not extend to the Chief Risk Officer's separate concurrence requirement, which has no corresponding

delegation provision in this Policy.

15.15 “Consolidated EBITDA” is defined in Article III Section 3.01 by reference to the Obligor's own credit agreement definition, and carries no separate, self-contained meaning under this Policy. Every reference elsewhere in this Policy to Consolidated EBITDA, including in Article X's illustrative mapping and Article XII's covenant package, incorporates Article III's own calculation conventions rather than a generic accounting EBITDA figure.

15.16 “Credit Memorandum” means the submission described in Article V, in whatever document the deal team titles it, and does not require the literal caption “Credit Memorandum” to be treated as such for purposes of this Policy's requirements. A submission satisfying Article V's substantive content requirements but captioned, for example, as an “Approval Request” or a “Deal Memo” is a Credit Memorandum for purposes of this Policy regardless of its caption.

15.17 “Effective Date” is the date Article VII Section 7.01 states for the current edition, and every reference elsewhere in this Policy to the “current” or “controlled” edition is a reference to the edition whose Effective Date under that Section has occurred and has not been superseded. A reference to a “prior edition” or a “superseded edition” elsewhere in this Policy means an edition listed in the Amendment Register as superseded, whether or not that edition's own text remains physically on file anywhere in the firm.

15.18 “Interim Guidance” is the guidance Article I Section 1.04 describes, and is distinguished throughout this Policy from an edition of the Policy itself, which alone is subject to Article VII's Amendment Register.

15.19 “Workout Referral” means the transfer described in Article XIII Section 13.09, and does not itself change the exposure's internal grade under Article X beyond the Grade 10 designation that ordinarily accompanies a referral.

15.20 “Approval Matrix” means the workbook Article XI Section 11.02 references as confirming the Committed Facility Exposure, and is distinct from the Exception Register and the Watch List, neither of which the Approval Matrix itself records.

15.21 “Independent Reviewer” means the credit officer described in Article V Section 5.10, and, for a submission also subject to Article XIII Section 13.10's specific-reserve procedure, may be the same individual performing both roles unless the Committee directs otherwise for a particular exposure.

15.22 “Grid” means the approval authority grid Article XI states, and “Correspondence Table” means the internal-to-external rating mapping and notching table Article X Section 10.12 describes; the two are maintained separately and a change to one does not itself change the other.

15.23 “Base Case” means the pro forma calculation the credit memorandum presents under Article V Section 5.01, as distinguished from a downside sensitivity case under Section 5.05 or a stressed case under Article XVII; a reference elsewhere in this Policy to “the case” without qualification means the Base Case.

15.24 “Reportable Control Deficiency” means the matter Article I Section 1.04 and Article VI Section 6.03 each identify as reliance on superseded interim guidance, and the further matter Article VI Section 6.14 identifies as an Exception Register and credit file discrepancy; both are logged as such and neither is corrected by silent amendment of the record it appears in.

15.25 “Portfolio-Level Report” means a report under Article XVI or Article XVII addressing the aggregate book or a defined subset of it, as distinguished from a report or form addressing a single Obligor's own Exposure, such as

Schedule A, Schedule B, Schedule C or Schedule E.

ARTICLE XVI — PORTFOLIO REPORTING AND ESCALATION SUMMARY

16.01 Purpose. This Article summarizes, in one place, the reporting and escalation obligations this Policy states elsewhere, and states which body receives each report. It creates no new limit, covenant or approval requirement; where this Article's summary and the fuller statement elsewhere in this Policy appear to differ, the fuller statement governs.

16.02 Report distribution list. The annual limit-utilization report (Section 2.20), the grid-utilization report (Section 11.10), the aggregate exception report (Section 6.09), and the Watch List report (Section 13.11) are each distributed to every voting member of the Committee and to the Chief Risk Officer; the Board Risk Committee receives the subset of these reports Section 6.10, Section 13.11 and Section 14.05 separately identify as escalated to it.

16.03 Report retention. A portfolio-level report under this Article is retained for the same period Section 5.11 states for an individual credit file, measured from the date of the report rather than from any individual exposure's own repayment date, since a portfolio-level report is not tied to a single exposure's own lifecycle.

16.04 Breach notification protocol. Where a proposed or existing exposure breaches a hard gate under Article II Section 2.02 without an approved Article VI exception, the credit officer identifying the breach shall notify the Chief Risk Officer directly and promptly, without waiting for the next regularly scheduled Committee meeting or the periodic reports this Article otherwise summarizes; the periodic reporting cycle is a monitoring backstop, not a substitute for immediate notification of an unapproved breach already known to have occurred.

16.05 Escalation matrix summary. The table below states, for each escalation type this Policy addresses, the body that handles it and the Article stating the requirement in full; it is a summary only and does not narrow or widen any requirement stated elsewhere.

16.06 Annual policy self-assessment. At the interval set out in Article XIV, the Committee shall assess, drawing on the reporting under Sections 2.20, 11.10 and 13.14, whether this Policy's limits, exposure bands and grade thresholds remain calibrated to the firm's actual origination and monitoring experience, and shall record the assessment's conclusion in the Committee's own minutes whether or not the assessment leads to a proposed amendment under Article VII.

16.07 External audit and regulatory examination cooperation. The Committee Secretary shall make the credit files, the Exception Register, the Watch List and every report this Article summarizes available to the firm's internal audit function and to any regulatory examiner with jurisdiction over the firm's lending activities, on the same terms the firm's own records-access policy states for a credit file generally.

16.08 Policy training requirement. Every credit officer and every deal team member with authority to approve an exposure under Article XI shall complete training on this Policy's current edition at the interval set out in Article XIV, and the Committee Secretary shall maintain a record of completed training distinct from, but cross-referenced to, the Amendment Register's own record of which edition is current.

16.09 This Article is administrative and summary in character. It does not itself create, narrow or waive any limit, covenant, approval requirement or reporting obligation stated in Articles I through XV; a conflict between this Article and any other Article is resolved in favor of the other Article.

16.10 Cross-reference to the Amendment Register. Every report this Article summarizes states, on its face, the edition of this Policy then in force under Article VII Section 7.01, so that a later reader comparing reports from different periods can identify whether a change in a reported figure reflects a change in the underlying exposures or a change in the Policy edition being applied.

16.11 Report format standardization. Each report this Article summarizes uses the Schedule form this Policy provides for it where a Schedule exists; a report for which no Schedule is provided, such as the portfolio-level stress report under Article XVII Section 17.08, is presented in a form the Committee Secretary maintains consistently period to period, changed only where the Committee directs a change and states the reason.

16.12 Incident-driven ad hoc reporting. Nothing in this Article limits the Committee Secretary from preparing and distributing an ad hoc report outside the calendar this Article and Article XIV otherwise state, where a specific incident - a single large Watch List addition, a cluster of exceptions against one limit, or an unapproved hard-gate breach under Section 16.04 - warrants attention before the next regularly scheduled report would otherwise surface it.

16.13 New Committee member onboarding. A newly appointed Committee member receives, before their first meeting, the most recent edition of this Policy, the most recent limit-utilization, grid-utilization, exception and Watch List reports under Sections 2.20, 11.10, 6.09 and 13.11, and a summary of any outstanding action trigger under Article XVII Section 17.09, so the new member begins with the same portfolio picture existing members already have.

16.14 Departing Committee member handoff. Where a Committee member departs, the Committee Secretary confirms that any matter the departing member was specifically tracking - an open exception renewal, a Watch List obligor the member had particular familiarity with, or an unresolved action trigger - is expressly reassigned to a remaining or incoming member rather than left without a named owner.

16.15 Quorum for a reporting meeting. A meeting at which only the periodic reports this Article summarizes are presented, with no substantive approval, exception or Watch List ratification vote on the agenda, may proceed without the quorum Section 6.05 otherwise requires for a vote, since no vote is being taken; a matter requiring a vote that arises during such a meeting is deferred to a meeting at which quorum is confirmed, unless the interim-approval procedure under Article XI Section 11.08 is separately available and used.

16.16 Minutes and records of Committee meetings. The Committee Secretary maintains minutes of every regularly scheduled and interim Committee meeting, recording each vote taken, each report presented under this Article, and each matter deferred under Section 16.15, retained for the same period Section 16.03 states for a portfolio-level report generally.

16.17 Confidentiality of Committee materials. The reports, minutes and credit files this Article and the other Articles of this Policy reference are confidential to the firm and are not shared outside the firm except as Section 16.07 permits for internal audit and regulatory examination purposes, or as otherwise required by law, regulation or legal process.

Escalation Type	Handled By	Reference
Limit exception	Credit Risk Committee + Chief Risk Officer	Art. VI
Exposure-band approval	Credit Officer / Committee (by band)	Art. XI

Watch List placement	Credit Officer (ratified by Committee)	Art. XIII
Impairment / specific reserve	Committee (independent-reviewed)	Art. XIII Sec13.10
Aggregate exception threshold	Board Risk Committee	Art. VI Sec6.10
Workout referral	Workout function (Committee-approved Grade 10)	Art. XIII Sec13.09
Unapproved hard-gate breach	Chief Risk Officer (immediate notification)	Art. XVI Sec16.04

ARTICLE XVII — PORTFOLIO STRESS TESTING AND SCENARIO ANALYSIS

17.01 Purpose. This Article states the firm's portfolio-level stress testing program for the aggregate leveraged finance and acquisition finance book, distinct from the per-exposure stress-test overlay Article II Section 2.19 requires at approval. The per-exposure overlay tests whether a single proposed exposure would still clear Section 2.02 under an adverse scenario; this Article tests whether the aggregate book as a whole remains within the firm's own risk tolerance under the same class of scenario, across every obligor already on the book together.

17.02 Scenario design. The Committee, in consultation with the firm's risk management function, designs the macroeconomic and market scenarios used for this Article's stress exercise, and reviews the scenario set at the interval set out in Article XIV. A scenario used for this Article's purposes need not be the identical scenario Section 2.19 applies to an individual proposed exposure, though the two are drawn from the same underlying scenario library so that a per-exposure result and a portfolio-level result remain comparable.

17.03 Macro scenario components. Each scenario states, at minimum, an assumed movement in benchmark interest rates, an assumed widening in credit spreads, and an assumed decline in revenue and margin calibrated by industry, consistent with the industry classification Section 2.07 already uses for concentration purposes. The scenario states these components in relative, not absolute, terms, so that the scenario library remains usable across successive editions of this Policy without restatement.

17.04 Aggregation methodology. The stress exercise recomputes the Section 2.02 pro forma leverage calculation for every obligor on the book under the scenario's assumed movements, using each obligor's own base-case inputs from its most recent credit memorandum or annual re-underwriting under Section 5.13, and aggregates the resulting stressed leverage distribution across the book by internal grade and by industry, consistent with the same two dimensions Section 2.20's limit-utilization report already tracks.

17.05 Capital adequacy linkage. The aggregated stressed result feeds into the firm's own capital planning process as an input; this Article does not itself govern that process, which is addressed in the firm's separate capital policy, but the Committee Secretary shall confirm that the stressed result is actually delivered to the function responsible for that process at the interval set out in Article XIV rather than assuming delivery without confirmation.

17.06 Reverse stress testing. In addition to the scenario-driven exercise under Sections 17.02 through 17.04, the Committee shall, at the same interval, identify the scenario severity at which the aggregate book's own weighted-average internal grade would migrate to Grade 6 or worse, working backward from that outcome rather than forward from an assumed scenario, so that the Committee has a sense of the book's own breaking point independent of whether the forward-looking scenario set happens to reach it.

17.07 Concentration stress. The stress exercise separately tests the effect of a scenario specific to the single largest industry concentration and the single largest sponsor-relationship concentration identified under Sections 2.07 and 2.12, isolating each concentration's own contribution to the aggregate stressed result from the diversified remainder of the book, so that a concentration risk is visible even where the book-wide aggregate result alone would not reveal

it.

17.08 Reporting of stress results. The Committee Secretary shall report the aggregate and concentration stress results to the Committee at the interval set out in Article XIV, and to the firm's Board Risk Committee at the interval that committee has set for stress-testing results generally, in the same manner Article XIV Section 14.05 already applies to the aggregate exception and Watch List reporting.

17.09 Action triggers. Where the aggregate stressed result breaches the tolerance the Committee has established for this exercise, the Committee shall consider, without being limited to: tightening the exposure bands under Article XI for new originations until the result improves; revising the industry or sponsor concentration limits under Sections 2.07 and 2.12; or directing enhanced monitoring under Article XIII for the specific obligors contributing most to the breach. A breach under this Section is not itself an Article VI exception and does not require Chief Risk Officer concurrence unless a specific resulting action independently requires it under another Article.

17.10 Model validation. The methodology underlying this Article's stress exercise, including the aggregation approach under Section 17.04, is validated by a function independent of the Committee and the deal teams at the interval the firm's own model-risk governance framework requires, and the validation's own findings are reported to the Committee separately from the stress results themselves.

17.11 Data quality. The stress exercise's reliance on each obligor's most recent base-case inputs under Section 17.04 makes the currency of those inputs load-bearing; an obligor whose annual re-underwriting under Section 5.13 is overdue at the time of the stress exercise is flagged in the stress report as relying on stale inputs, rather than silently included as though its inputs were current.

17.12 Documentation retention. The scenario set, the aggregation workpapers, and the Committee's own consideration of any action trigger under Section 17.09 are retained for the period Article XVI Section 16.03 states for a portfolio-level report generally.

17.13 Idiosyncratic obligor-specific stress. In addition to the book-wide and concentration exercises under Sections 17.02 through 17.07, the credit officer responsible for any exposure graded 6 or worse under Article X shall run an obligor-specific stress case combining the downside sensitivity Section 5.05 already requires at origination with the then-current scenario set under Section 17.02, updated for the obligor's actual performance since origination, at the same cadence Article XIII Section 13.06 sets for that grade's Watch List review.

17.14 Relationship to the annual policy self-assessment. The Committee's annual self-assessment under Article XVI Section 16.06 shall consider whether the stress-testing program under this Article itself remains calibrated to the book's actual composition, including whether the scenario severities under Section 17.03 remain reasonable in light of market conditions observed since the scenario set was last reviewed.

17.15 Historical back-testing. At the interval set out in Article XIV, the risk management function shall compare the aggregate stressed result from the prior cycle's exercise under Section 17.04 against the book's actual, subsequently observed migration and Watch List incidence under Article XIII, and shall report to the Committee whether the prior exercise's severity assumptions understated, overstated, or reasonably approximated the actual experience, so the scenario design under Section 17.02 can be informed by the program's own track record rather than by judgment alone.

17.16 Sensitivity to a single-name default. In addition to the scenario-driven and reverse stress exercises under Sections 17.02 and 17.06, the stress exercise separately states the effect on the aggregate book of the single largest individual obligor exposure under Section 2.06 defaulting in full, with a recovery assumption stated by the risk management function rather than assumed at par or at zero by default, so the Committee can see the book's own single-name concentration risk alongside the diversified, scenario-driven results this Article otherwise reports.

17.17 Distribution of the stress program's own outputs. The aggregate stress result, the reverse stress result, the concentration stress results, and the back-testing comparison under Section 17.15 are each distributed to the same recipients Article XVI Section 16.02 identifies for the other portfolio-level reports, so that the full set of periodic reports reaches a consistent audience rather than a subset determined informally case by case.

17.18 Interaction with the covenant package under stress. Where the stress exercise under Section 17.04 indicates that a material share of the book would breach its own maintenance covenants under Article XII even without breaching Section 2.02's leverage gate, the Committee shall consider that covenant-breach share as a distinct output from the leverage-based result, since a covenant breach triggers a different, faster remedy path for the firm than a leverage-only deterioration that has not yet reached a covenant test date.

17.19 Climate and long-horizon transition considerations. Where the obligor's industry is one the Committee has identified as exposed to a long-horizon transition risk (regulatory, technological or demand-side), the deal team shall state that exposure in the credit memorandum under Article V, and the Committee's scenario design under Section 17.02 considers, at the interval set out in Article XIV, whether the scenario library adequately captures that class of risk across the book as a whole rather than only cyclical, near-term deterioration.

SCHEDULE A — EXCEPTION REQUEST FORM

Used to request an exception under Article VI Section 6.04. The completed form accompanies the credit memorandum otherwise required by Article V and is filed with the Exception Register entry Section 6.07 describes. The deal team completes every field below before the request is placed on the Committee's agenda; an incomplete Schedule A is returned to the deal team rather than reviewed with a gap. Where the request is for renewal of an existing exception under Section 6.11 rather than a new grant, the deal team checks the renewal box at the head of the form and completes the additional narrative Section 6.11 requires in the Business Justification field, rather than submitting a separate, differently formatted renewal document.

Field	Content
Obligor	[name]
Limit to be Exceeded	[Article II section reference]
Requested Amount / Duration	[amount; expiration under Sec6.08]
Business Justification	[narrative]
Deal Team	[names]
Date of Request	[date]

SCHEDULE B — WATCH LIST REPORT FORM

Used for the quarterly Watch List reporting Article XIII Section 13.11 requires. One row per obligor on the Watch List at the reporting date. The Committee Secretary compiles the form from each credit officer's own Watch List review under Section 13.06 rather than re-deriving the grade or trigger independently, and flags any row added or removed since the prior quarter's form at the top of the report so the Committee can see the list's turnover before

reviewing the individual rows.

Field	Content
Obligor	[name]
Internal Grade	[Article X grade]
Trigger	[Sec13.02/13.03/13.04]
Date Placed	[date]
Next Review Date	[per Sec13.06]
Credit Officer	[name]

SCHEDULE C — ANNUAL ATTESTATION FORM

Used for the annual re-underwriting Article V Section 5.13 and Article XIV Section 14.02 require. Completed once per exposure per annual cycle and filed with the credit file Section 5.11 describes. The reviewing credit officer states the basis for the determination with the same specificity Section 5.02 requires of an original submission's material figures, and where the reaffirmed or revised grade differs from the prior grade, the form cross-references the grade migration record Article X Section 10.17 requires.

Field	Content
Obligor	[name]
Reviewing Credit Officer	[name]
Prior Grade	[Article X grade]
Reaffirmed / Revised Grade	[Article X grade]
Basis for Determination	[narrative]
Date	[date]

SCHEDULE D — ANNUAL LIMIT UTILIZATION REPORT

Used for the annual limit-utilization reporting Article II Section 2.20 requires. One row per limit category tracked under Article II. The Committee Secretary adds a row for any limit category the Committee designates after this Schedule is first adopted, without waiting for a formal amendment of this Schedule itself, since the limit categories themselves are stated in Article II and this Schedule only reports against them.

Limit	Internal Grade / Industry	Approved Aggregate	Utilized Aggregate	Headroom
Single-obligor (Sec2.06)	[grade]	[amount]	[amount]	[amount]
Industry concentration (Sec2.07)	[industry]	[amount]	[amount]	[amount]
Sponsor-relationship (Sec2.12)	[sponsor]	[amount]	[amount]	[amount]

SCHEDULE E — WAIVER CERTIFICATE

Evidences the Chief Risk Officer's written concurrence Article VI Section 6.06 requires as a condition to an exception's effectiveness, distinct from the Committee's own affirmative vote recorded elsewhere. A Schedule E is also completed for the Chief Risk Officer's concurrence Article XI Sections 11.04 and 11.05 separately require for a higher-band or grade-driven approval, using the Exception Reference field to cite the Article XI Section relied upon in place of an Exception Register entry where the concurrence is not itself tied to an Article VI exception.

Field	Content
Obligor	[name]
Exception Reference	[Exception Register entry]
Chief Risk Officer Concurrence	[name; Sec6.06]
Date	[date]
Signature	[signature block]

SCHEDULE F — INDEPENDENT REVIEWER COMMENT FORM

Used by the independent reviewer described in Article V Section 5.10 to record the review required for every submission at or above the threshold requiring Credit Risk Committee approval under Article XI. The form addresses, at minimum, whether the Section 2.02 calculation follows Article III's conventions, whether every material figure under Section 5.02 is sourced to a specific document and section, whether the sensitivity cases required by Section 5.05 are reasonable for the obligor's specific business, and whether any Article II limit the submission itself identifies as satisfied is, on the reviewer's own check, in fact satisfied on the figures presented.

Field	Content
Obligor	[name]
Reviewer	[name, distinct from originating deal team]
Section 2.02 Calculation Reviewed	[confirmed / discrepancy noted]
Section 5.02 Sourcing Reviewed	[confirmed / gap noted]
Sensitivity Cases Reviewed	[confirmed / additional case recommended]
Overall Comment	[narrative]
Date	[date]